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Central Bank of Kenya Act

The Central Bank of Kenya (Non-Deposit Taking Credit Providers) Regulations, 2026

Legal Notice 191 of 2026

Legislation as at 29 September 2026

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The Central Bank of Kenya (Non-Deposit Taking Credit Providers) Regulations, 2026 (Legal Notice 191 of 2026)

Contents

Part I – PRELIMINARY 1

1. Citation. 1

2. Interpretation 1

3. Application. 3

4. Name approval. 3

Part II – LICENSING OF NON-DEPOSIT TAKING CREDIT PROVIDERS 5

5. Prohibition from carrying on business without a licence or registration 5

6. Application for licence. 5

7. Issuance of a licence. 6

8. Discontinuation of licence application. 7

Part III – REGISTRATION OF NON-DEPOSIT TAKING CREDIT PROVIDERS 7

9. Application for registration. 7

10. Issuance of a certificate of registration. 9

11. Conversion of registration into licence. 9

Part IV – OPERATION OF NON-DEPOSIT TAKING CREDIT BUSINESS 10

12. Publication of licensed and registered non-deposit taking credit providers 10

13. Licence or certificate of registration not transferable 10

14. Fit and proper obligations. 10

15. Corporate governance. 11

16. Place of business. 12

17. Permissible activities. 12

18. Prohibited activities. 12

19. Restrictions on ownership by deposit taking institutions. 13

20. Restrictions on shareholding by director. 13

21. Suspension or revocation of licence or registration. 14

22. Amalgamations and transfer of assets, liabilities, and shares. 15

23. Risk management. 16

24. Provision of credit. 16

25. Credit policy. 17

26. Products. 18

27. Channel delivery. 18

28. Credit appraisal. 18

29. Limit on interest recoverable from non-performing loans. 19

30. Credit collection. 19
31. Outsourcing. 20
32. Confidentiality. 21
33. Exchange of credit information. 21
34. Restrictions on use of credit information. 22
35. Business continuity. 22
36. Information and technology systems. 23
37. Accessibility for persons with disabilities. 23
Part V – CONSUMER PROTECTION 24
38. Suitability of product or service. 24
39. Access to transaction and credit information. 24
40. Customer complaints resolution. 24
41. Fairness. 25
42. Guarantor's liability. 25
43. Expenses for loan recovery. 26
44. Debt collection. 26
45. Reliability 26
46. Staff oversight 26
47. Transparency 26
48. Key information document 27
49. Use of different business name or tradename 27
50. Customer obligations. 27
51. Advertising, marketing and promotions. 28
52. False advertisements. 28
53. Access and collection of customer information 29
54. Loan agreement. 29
55. Variation of pricing parameters and credit terms. 30
56. Loan repayment. 30
57. Non-performing loans. 30
58. Consent to process data. 31
59. Pricing parameters. 31
60. Use of artificial intelligence. 32
61. Compliance with cyber security standards. 32
Part VI – ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM 32
62. Sources of funds. 32

63. Customer identity. 33
64. Compliance with anti-money laundering, financing of terrorism laws. 33
Part VII – REPORTING REQUIREMENTS AND OVERSIGHT BY THE CENTRAL BANK 33
65. Annual publication of licensed and registered non-deposit taking credit providers. 33
66. Reporting requirements, onsite inspection and off-site monitoring. 33
67. Preparation and submission of financial statements 34
68. Disclosure of information by Bank 34
69. Power of Bank to advise and direct. 34
Part VIII – CODE OF CONDUCT 35
70. Objectives of the code of conduct. 35
71. Guiding principles. 35
72. Application of the code of conduct 36
73. Establishment of industry body. 36
74. Skill, care and diligence 36
75. Business integrity 36
76. Conflict of interests. 36
77. Communicating with customers 36
78. Protection of collateral. 37
79. Market conduct compliance 37
80. Financial resources. 37
81. Internal affairs 37
82. Market conduct obligations. 37
83. Compliance with the code of conduct. 38
Part IX – ENFORCEMENT 38
84. Non-compliance 38
85. Duty to comply 39
86. Enforcement and administrative sanctions. 39
87. Application of monetary penalty to each violation. 39
88. Rectification of violation. 40
89. Period within which rectification is to be made. 40
Part X – REVIEW 40
90. Review. 40
91. Grounds for review. 40
92. Request for additional information 40
93. Determination of the request for review. 41

94. Communication of decision. 41
Part XI – MISCELLANEOUS PROVISIONS 41
95. Voluntary liquidation of business. 41
96. Transition. 41
97. Revocation. 42
FIRST SCHEDULE 42
SECOND SCHEDULE [r. 14(1), 22(8), 74(d)] 57
THIRD SCHEDULE [r. 5(2)(z), 7(4), 9(3)(p), 11(3)] 58

CENTRAL BANK OF KENYA ACT

THE CENTRAL BANK OF KENYA (NON-DEPOSIT TAKING CREDIT PROVIDERS) REGULATIONS, 2026

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Part I – PRELIMINARY

1. Citation.

These Regulations may be cited as the Central Bank of Kenya (Non-Deposit Taking Credit Providers) Regulations, 2026.

2. Interpretation

In these Regulations, unless the context otherwise requires—

"Act" means the Central Bank of Kenya Act (Cap. 491);

"associate" means—

(a) in relation to a non-deposit taking credit provider or other body corporate means—

(i) its holding company or its subsidiary;

(ii) a holding company of its subsidiary;

(iii) its non-operating holding company as its subsidiary;

(iv) a subsidiary of a non-operating holding company;

(v) any person who controls the company or body corporate whether alone or with his associates or with its associates; or

(b) in relation to an individual, means any—

(i) member of his family; and

(ii) company or other body corporate controlled directly or indirectly, by him whether alone or with his associates;

"Bank" means the Central Bank of Kenya;

"beneficial owner" has the meaning assigned to it under the Companies Act (Cap. 486);

"borrower" means a customer or a consumer;

"certificate of registration" means a document issued by the Bank to a person who has applied for and fulfils the requirements for registration under the Act and these Regulations;

"charges" includes all the payments that a customer makes, is required to make, or agrees to make to a non-deposit taking credit provider in consideration of the loan by the non-deposit taking credit provider to the customer, and all interest, fees, expenses and costs associated with the provision of the loan;

"credit information" means any positive or negative information relating to a person's credit worthiness, credit standing, credit capacity, or history or profile relating to credit, assets, and any financial obligations;

"consumer" means a person who seeks to obtain a loan, a loan product or to purchase goods or assets from a non-deposit taking credit provider;

"delivery channel" means the mode or platform through which services are rendered and includes but is not limited to physical premises, mobile devices including mobile phones, credit cards, internet, telephones, automated teller machines, application-based platforms, unstructured supplementary service data, marketing units, mobile units, third-party premises and such other channels as the Bank may approve;

"deposit" means an amount received or paid on terms under which it shall be repaid, with or without interest or a premium, and either on demand, or at a time or in circumstances agreed by or on behalf of the person making the payment and the person receiving it;

"family member" means a parent, spouse, brother, sister, child, uncle, aunt, nephew, niece, stepfather, stepmother, stepchild and adopted child of the person concerned, and in case of an adopted child, his adopter or adopters;

"licence" means a document issued by the Bank to a person who has applied for and fulfils the requirements for licensing;

"loan" means any credit facilities, advances, or loan products including buy now pay later, stock now pay later, and peer to peer lending offered by the lender;

"non-deposit taking credit provider" means a person licensed or registered by the Bank to carry on non-deposit taking credit business using their own funds and assets but does not include the national government or county government:

Provided that where any reference is made to a non-deposit taking credit provider without specifying whether it is a licensed non-deposit taking credit provider or registered non-deposit taking credit provider, the term shall be construed to mean both licensed and registered non-deposit taking credit providers;

"non-performing loan" has the meaning assigned to it in regulation 57 of these Regulations;

"pay as you go" means a credit arrangement where a consumer acquires access to the use of an asset by making partial or periodic payments with the ultimate intention to own the asset, and the provider retains the right to restrict, deactivate, or repossess the asset in the event of non-payment by the consumer;

"place of business" means any premise including the head office, branch, or any such premises as may be approved by the Bank where the non-deposit taking credit provider carries on business;

"reckless" includes—

(a) offering a loan or loan product contrary to the Act, these Regulations, the code of conduct or any directives issued by the Bank; or

(b) failing to observe the non-deposit taking credit provider's own policies as approved by the board of directors;

"senior officer" means a person who has ultimate responsibility for managing a specific function or business area of a non-deposit taking credit provider including finance, compliance, risk, information technology, credit, debt recovery, marketing, or any other similar function as may be specified by the Bank;

"significant shareholder" means a person other than the Government or a public entity, who holds directly or indirectly or otherwise has a beneficial interest in ten percent or more of the share capital of a non-deposit taking credit provider; and

"third-party service provider" means a person who is undertaking a material outsourced service on behalf of a non-deposit taking credit provider and includes a member of the group to which the non-deposit taking credit provider belongs, or an unrelated company whether located in Kenya or outside.

3. Application.

(1) These Regulations shall apply to non-deposit taking credit business not regulated under any other written law.

(2) These Regulations shall apply to any person seeking to conduct non-deposit taking credit business unless that person has been licensed or registered by the Bank under this Act or is permitted to do so under any other written law.

(3) These Regulations shall not apply to—

(a) an institution licensed under the Banking Act (Cap. 488);

(b) a credit guarantee company or credit guarantee provider regulated under the Central Bank of Kenya Act (Cap. 491);

(c) an institution licensed under the Microfinance Act (Cap. 493C);

(d) a co-operative society registered under the Co-operative Societies Act (Cap. 490);

(e) a Sacco society licensed under the Sacco Societies Act (Cap. 490B);

(f) credit arrangements involving the provision of credit by a person that is merely incidental to the sale of goods or provision of services by the person whose primary business is the provision of the goods or services;

(g) lease finance transactions in Kenya regulated under any written law;

(h) hire-purchase arrangements involving the bailment of goods under the Hire Purchase Act (Cap. 507);

(i) a person whose non-deposit taking credit business is regulated under any other written law; or

(j) any other person approved by the Bank and whose business does not fall under the definition of "financial institution" under the Proceeds of Crime and Anti-Money Laundering Act (Cap. 59A).

4. Name approval.

(1) Promoters of a proposed non-deposit taking credit provider shall propose at least three company names with the Business Registration Service.

(2) The promoters shall submit the proposed three company names to the Bank for approval, in order of preference, together with the following supporting information—

(a) name search and reservation document obtained from Business Registration Service;

(b) names and addresses of the proposed shareholders, including certified copies of requisite identification documents or certificates of incorporation or registration in case of corporate entities; and

(c) a high-level brief providing information on the proposed business including—

(i) company profile;

(ii) nature of proposed business indicating the proposed business activities;

(iii) evidence of availability and amount of capital;

(iv) shareholding structure including details of shareholders, respective shareholding percentages and ultimate beneficial owners;

(v) organizational structure describing proposed functional units through which the business will be managed;

(vi) governance structure describing proposed board composition, its functions and senior management responsibilities;

(vii) business model including the delivery channels and platforms to be used;

(viii) target market, identifying the gap that the proposed business intends to fill in the market; and

(ix) a statement indicating whether the company intends to apply for a license or registration to conduct non-deposit taking credit business.

(3) The promoters shall obtain and submit to the Bank a letter of no objection from Kenya Industrial Property Institute on the use of the reserved company name upon the Bank's approval.

(4) The Bank shall consider the information and the names submitted and may take into account the suitability of the proposed names and any other relevant matter including any representations made during any meeting between the Bank and the promoters which may have a bearing on the proposed names or proposed non-deposit taking credit business.

(5) In determining the suitability of the proposed company name, the Bank shall have regard to whether the proposed name—

(a) is not identical or similar to the name of a licensed or registered non deposit taking credit provider;

(b) is not misleading or deceptive as to the nature of the applicant's business, or the ownership and control of the applicant;

(c) does not infringe, or appear likely to infringe, on the business name, registered trademark, or other intellectual property right of a licensed or registered non deposit taking credit provider;

(d) is not offensive, undesirable, or contrary to public policy or public interest;

(e) does not create the impression that applicant has been endorsed, guaranteed, or is otherwise affiliated with the Bank; or

(f) is not consistent with the applicant's proposed business activities.

(6) Where the names are not suitable, the Bank may direct the promoters to submit three alternative company names which shall be considered in accordance with subregulation (4).

(7) Without prejudice to subregulation (3), and (5) a proposed name shall not include names with words which are restricted under the Banking Act (Cap. 488), the Microfinance Act (Cap. 493C), or any other written law.

(8) The Bank may grant approval of a name on such conditions as it may impose.

(9) Upon approval of the proposed name by the Bank, the promoters shall incorporate the company within three months and shall apply to the Bank for a licence or registration within six months from the date of incorporation.

(10) Where the promoters fail to comply with paragraph (8), the approval of the proposed name shall lapse and the promoters shall be required to cease using the proposed name.

(11) Without prejudice to paragraph (9), a promoter issued with approval to use any name by the Bank shall not transact a non-deposit taking credit business or misrepresent themselves as having authority to carry on non-deposit taking credit business.

(12) Where an existing business intends to carry on a non-deposit taking credit business, the existing business shall furnish the Bank with—

(a) a letter of no objection from Kenya Industrial Property Institute on the use of the reserved company name; and

(b) a high-level brief of its business strategy and any other documents that the Bank may deem necessary for purposes of name approval.

Part II – LICENSING OF NON-DEPOSIT TAKING CREDIT PROVIDERS

5. Prohibition from carrying on business without a licence or registration

A person shall not establish a non-deposit taking credit business in Kenya or otherwise hold themself out as carrying on non-deposit taking credit business unless that person is licensed or registered by the Bank in accordance with the Act and these Regulations or is a person whose non-deposit taking credit business is regulated under any other written law.

6. Application for licence.

(1) A person who seeks to establish a non-deposit taking credit business in Kenya and whose initial capital is not less than twenty million shillings shall apply to the Bank for a licence using Form 1 set out in the First Schedule.

(2) An application under paragraph (1) shall be accompanied by—

(a) a certified copy of the certificate of incorporation of the applicant issued under the Companies Act (Cap. 486);

(b) a certified copy of the Memorandum and Articles of Association of the applicant;

(c) a certified copy of the certificate of registration of a Business Name issued by the Business Registration Service where the applicant intends to carry on business under a business name which is not on the certified copy of the certificate of incorporation;

(d) notification of the applicant's registered address;

(e) a certificate issued pursuant to section 19 of the Data Protection Act (Cap. 411C);

(f) a statement on how the applicant shall comply with the provisions of Part VII of the Consumer Protection Act (Cap. 501);

(g) a statement on how the applicant shall comply with the provisions of Part VI of the Competition Act (Cap. 504);

(h) evidence of availability and amount of capital to be invested in the proposed business;

(i) information on the source of capital;

(j) a certified copy of a certificate of incorporation, Memorandum and Articles of Association of any corporate body that has a significant shareholding in the applicant;

(k) a description of any information and communication technology system to be used;

(l) a description of delivery channels or platforms to be used in conducting the business or delivering services;

(m) a description of, and terms and conditions of, credit products and services which the applicant intends to provide;

(n) draft agreement with a service provider in relation to provision of delivery channel, where applicable;

(o) a description of consumer protection measures to be put in place including complaints redress mechanism;

(p) a description of the operations of the non-deposit taking credit business highlighting proposed range of loan sizes, range of interest rates, loan classification criteria and period within which a loan will be deemed non-performing subject to paragraph 57;

(q) a brief statement on whether the business will be funded wholly out of capital or from other sources, including the proposed debt to equity ratio;

(r) a copy of the applicant's credit policy and procedures;

(s) a copy of the applicant's code of conduct;

(t) a copy of the applicant's consumer protection policies and procedures;

(u) a copy of the applicant's anti-money laundering and combating the financing of terrorism policies and procedures;

(v) a copy of the applicant's data protection policies and procedures;

(w) a copy of the applicant's information and communications technology security management system policies and procedures;

(x) a copy of the applicant's corporate governance policies and procedures;

(y) a sworn declaration by the shareholders on the sources of funds and that the funds are not from proceeds of crime;

(z) non-refundable application fees set out in the Third Schedule;

(aa) the names and addresses of the shareholders in Form 3 set out in First Schedule;

(bb) duly filled fit and proper forms for the directors, chief executive officer and senior officers in Form 3, and significant shareholders in Form 4, set out in the First Schedule accompanied by certificate of good conduct, tax compliance certificate and credit reference bureau report for each of the non-deposit taking credit provider's individual significant shareholders, directors, chief executive officer and senior officers;

(cc) the applicant's pricing parameters, including criteria for determining non-performing loans;

(dd) certificate of good conduct, tax compliance certificate and credit reference bureau report for each of the non-deposit taking credit provider's individual significant shareholders, directors, chief executive officer and senior officers;

(ee) the applicant's proposed channel deliveries including application programs for the lending business;

(ff) the applicant's business continuity plans;

(gg) sworn declaration that none of the proposed directors or significant shareholders holds or owns a similar position in any other non-deposit taking credit provider in Kenya;

(hh) copies of the last three years' annual audited financial statements, where applicable; and

(ii) any other information as may be required by the Bank.

(3) Despite paragraph (2) the policies and procedures, manuals or codes under this Regulation shall be approved by the Board.

7. Issuance of a licence.

(1) In assessing the application, the Bank shall consider the following—

(a) adequacy of the information and documents furnished in support of the application;

(b) the professional and moral suitability of the persons proposed to manage or control the non-deposit taking credit provider;

(c) the sources and evidence of funds to be invested by or in the non-deposit taking credit provider; and

(d) the public interest to be served by issuing the licence.

(2) The Bank may, if satisfied that the applicant meets the requirements, grant with or without conditions, a licence to the applicant, within sixty days of submission of an application.

(3) A licence issued under these Regulations shall remain valid unless suspended or revoked by the Bank.

(4) A non-deposit taking credit provider shall, on or before the 31st day of December every year, pay the annual fees set out in the Third Schedule as a lumpsum or in such manner as the Bank may specify.

(5) If a non-deposit taking credit provider fails to pay the annual fees specified in paragraph (4), it shall pay double the annual fees if it is paid within three months from 31st day of December of the year when the fees fall due.

(6) If the annual fees are not paid in accordance with the requirements of paragraph (5), the Bank may revoke the licence.

8. Discontinuation of licence application.

(1) Where an applicant has not responded to a request by the Bank for additional information for a period of three months, the Bank may discontinue the processing of the licence application.

(2) After the expiry of the three months referred to in paragraph (1), the Bank may issue a fourteen days' notice to show cause to the applicant why the licence application processing should not be discontinued and the Bank may consider any representations made pursuant to the notice to show cause.

(3) The Bank shall notify the applicant of the decision on discontinuation of processing of the licence application within seven days of receipt of the representations, or such longer time as may be necessary.

(4) Where an application has been discontinued under paragraph (1), the applicant may make a fresh application for a licence on such terms as the Bank may impose.

Part III – REGISTRATION OF NON-DEPOSIT TAKING CREDIT PROVIDERS

9. Application for registration.

(1) A person who wishes to carry on non-deposit taking credit business and who fails to meet the conditions set out in regulation 7(1) shall apply to the Bank for registration as a non-deposit taking credit provider.

(2) An application for registration shall be made in Form 2 set out in the First Schedule.

(3) An application under paragraph (2) shall be accompanied by—

(a) a certified copy of the certificate of incorporation of the applicant issued under the Companies Act (Cap. 486);

(b) a certified copy of the Memorandum and Articles of Association of the applicant;

(c) a certified copy of the certificate of registration of a Business Name issued by the Business Registration Service where the applicant intends to carry on business under a business name which is not on the certified copy of the certificate of incorporation;

(d) notification of the applicant's physical address;

(e) a valid certificate issued pursuant to section 19 of the Data Protection Act (Cap. 411C);

(f) a statement as to compliance with the provisions of Part VII of the Consumer Protection Act (Cap. 501);

(g) a statement as to compliance with the provisions of Part VI of the Competition Act (Cap. 504) and the Rules thereunder;

(h) evidence of availability and amount of capital to be invested in the proposed business;

(i) information on source of capital;

(j) a description of, and terms and conditions of credit products and services which the applicant intends to provide;

(k) a brief on the applicant's anti-money laundering and combating the financing of terrorism policies and procedures;

(l) a description of any information and communication technology system to be used;

(m) a brief on the applicant's data protection policies and procedures outlining, among other things, the complaint redress mechanisms;

(n) a brief on the applicant's corporate governance policies and procedures;

(o) a brief on the applicant's consumer protection policies and procedures covering among other things complaint redress mechanisms;

(p) non-refundable application fees set out in the Third Schedule;

(q) a description of delivery channels or platforms to be used in conducting the business or delivering services;

(r) duly filled fit and proper forms for the directors, chief executive officer and senior officers in Form 3 set out in the First Schedule and significant shareholders in Form 4 of the First Schedule.

(s) a copy of the applicant's credit policy and procedures;

(t) a copy of the applicant's code of conduct;

(u) a copy of the applicant's pricing parameters;

(v) a copy of the applicant's business continuity plans;

(w) certificate of good conduct, tax compliance certificate and credit reference bureau report for each of the non-deposit taking credit provider's individual significant shareholders, directors, chief executive officer and senior officers;

(x) copies of the last three years' annual audited financial statements, where applicable;

(y) sworn declaration that none of the proposed directors or significant shareholders holds or owns a similar position in any other non-deposit taking credit provider in Kenya;

(z) the applicant's proposed channel deliveries including application programs for the lending business; and

(aa) any other information as may be required by the Bank.

(4) A person who understates his initial capital to meet registration requirements under this part shall be liable to the penalty prescribed in section 33S (10) of the Act and where a certificate of registration has been issued, the Bank may revoke the registration.

10. Issuance of a certificate of registration.

(1) Upon being satisfied that an applicant has submitted complete documentation required, the Bank may grant a certificate of registration with or without conditions.

(2) A certificate of registration issued under this Part shall permit a non-deposit taking credit provider to conduct business in accordance with the requirements of these Regulations, save as otherwise expressly excepted.

(3) A certificate issued under this Part shall remain valid unless suspended or revoked.

(4) A registered non-deposit taking credit provider shall, on or before the 31st day of December every year, pay the annual fees set out in the Third Schedule in a lumpsum or in such manner as the Bank may specify.

(5) A registered non-deposit taking credit provider which fails to pay the annual fees specified in paragraph (4), shall pay double the annual fee if it is paid within three months from 31st day of December of the year when the fee is due.

(6) Where the annual fees are not paid in accordance with the requirements of paragraph (5), the Bank may revoke the registration of the non-deposit taking credit provider.

11. Conversion of registration into licence.

(1) A registered non-deposit taking credit business shall apply to the Bank for a licence where the registered non-deposit taking credit business—

(a) capital exceeds twenty million shillings;

(b) borrowings exceed twenty million shillings; or

(c) loan book exceeds twenty million shillings.

(2) The application for a licence in paragraph (1) shall be in Form 1 set out in the First Schedule.

(3) The application in paragraph (2) shall be accompanied with the fee payable as set out in the Third Schedule.

(4) Notwithstanding the provisions of paragraph (1), the Bank may direct a registered non-deposit taking credit provider to apply for a licence where the non-deposit taking credit provider has—

(a) failed to disclose the correct amounts under paragraph (1); or

(b) undergone a rapid expansion of business following registration.

(5) An application under this Regulation shall be accompanied by—

(a) evidence of availability and amount of capital;

(b) total borrowings indicating lenders, date of borrowings, principal amounts, interest rates applicable, total amount owing;

(c) total loan book indicating details of the loans as may be specified by the Bank;

(d) a copy of the credit policies and procedures;

(e) pricing parameters;

(f) a copy of the code of conduct;

(g) a copy of the consumer protection policy and procedures;

(h) a copy of the Anti-Money Laundering and Combating the Financing of Terrorism policies and procedures;

(i) a copy of the data protection policies and procedures;

(j) a copy of the corporate governance policies and procedures;

(k) information on pricing parameters;

(l) a report on complaints received, nature of complaints, number of complaints resolved, not resolved, nature of corrective actions taken; and

(m) any other information as the Bank may require.

(6) The Bank shall process the application based on the information submitted and may issue a licence with or without conditions.

(7) The Bank shall, within thirty days after issuing a licence, publish in the *Gazette*, notice of conversion of a registered non-deposit taking credit provider to a licensed non-deposit taking credit provider.

(8) Save as provided under this Part, upon issuance of a licence, all other requirements in these Regulations relating to a licensed non-deposit taking credit provider shall apply to a non-deposit taking credit provider licensed under this Part.

(9) A registered non-deposit taking credit provider which has applied for, or has been directed by the Bank to apply for a licence under this Part, shall continue conducting credit business, pending processing of the licence application by the Bank.

Part IV – OPERATION OF NON-DEPOSIT TAKING CREDIT BUSINESS

12. Publication of licensed and registered non-deposit taking credit providers

The Bank shall publish the name of every licensed or registered non-deposit taking credit provider in the *Gazette* and in the Bank's website within thirty days of grant of licence or certificate of registration.

13. Licence or certificate of registration not transferable

A licence or certificate of registration issued under these Regulations shall not be transferred, assigned or encumbered in any way.

14. Fit and proper obligations.

(1) No person shall be a significant shareholder, director, chief executive officer or a senior officer of a non-deposit taking credit provider unless the Bank has certified the person as fit and proper in accordance with the criteria set out in the Second Schedule.

(2) Notwithstanding paragraph (1), a non-deposit taking credit provider may make a conditional appointment of a chief executive officer or a senior officer pending the Bank's certification.

(3) The Bank may, where necessary, carry out an assessment of the professional and moral suitability of a significant shareholder, director, chief executive officer, or a senior officer of a non-deposit taking credit provider, notwithstanding that the person had previously been certified by the Bank as fit and proper.

(4) The Bank may direct a significant shareholder who is considered by the Bank as not fulfilling the fit and proper criteria to dispose of all or part of their shares in a non-deposit taking credit provider within such period as the Bank may specify.

(5) Where a person does not comply with the fit and proper criteria prescribed, the Bank may disqualify any person from holding the position of director, chief executive officer or senior officer or holding any other office in a non-deposit taking credit provider.

(6) A disqualification under paragraph (5) may not extend for a period exceeding three years.

(7) A non-deposit taking credit provider shall promptly notify the Bank when the non-deposit taking credit provider becomes aware of any information that may impact on the professional and moral suitability of a significant shareholder, director, chief executive officer or a senior officer of a non-deposit taking credit provider.

(8) Where the Bank has reason to believe that a shareholder has reduced its direct or indirect shareholding in a non-deposit taking credit provider to below ten percent in order to avoid vetting, vet such a shareholder.

(9) Paragraph (1) and (2) shall not apply to a registered non-deposit taking credit provider except as the Bank may specify on a case-by-case basis.

15. Corporate governance.

(1) A non-deposit taking credit provider shall practice sound corporate governance principles based on ethics and integrity, good reputation and legitimacy, sound risk management and compliance with the law.

(2) Without prejudice to paragraph (1), a non-deposit taking credit provider shall—

(a) have a board of directors which is commensurate to its size, complexity and risk profile which shall exercise effective oversight over the management of the non-deposit taking credit provider;

(b) have an organizational structure which ensures the conduct of a sound and viable credit business;

(c) establish risk management and compliance frameworks that ensure proper business management, and compliance with the Act, other relevant written law, guidelines, policies, procedures and directives of the Bank;

(d) ensure that functions of the board and senior management are clearly separated; and

(e) ensure the board is constantly apprised of business activities and the performance of the non-deposit taking credit provider.

(f) ensure that the board members are constantly apprised of new technology adopted by the non-deposit taking credit provider.

(3) Where a non-deposit taking credit provider is a subsidiary of a group of companies or non-operating holding company, the board of the non-deposit taking credit provider shall remain responsible for the corporate governance in the non-deposit taking credit provider.

(4) The board of the non-deposit taking credit provider shall evaluate any group-level practices to ensure that they do not put the regulated subsidiary in breach of applicable laws and prudential rules.

(5) A non-deposit taking credit provider shall not benefit from a favorable or concessional facility from the group except in the normal course of business and at arm's length.

(6) A non-deposit taking credit provider shall notify the Bank of any intended changes in its significant shareholding, board or management structure, or the appointment of a new director, chief executive officer or a senior officer at least thirty days before the effective date of such changes or appointments.

(7) A non-deposit taking credit provider shall notify the Bank whenever a director, chief executive office, or a senior officer resigns or is otherwise removed within seven days of the date of resignation or such removal.

(8) Notwithstanding paragraph (7), a non-deposit taking provider shall disclose the reasons for the removal, resignation or retirement of directors.

16. Place of business.

(1) A non-deposit taking credit provider shall have at least one registered physical office in Kenya, in accordance with the requirements of the Companies Act (Cap. 486).

(2) A non-deposit taking credit provider shall display a copy of its licence or certificate of registration in all its places of business.

(3) A non-deposit taking credit provider shall give at least thirty days written notice to the Bank before the opening, relocation or closure of its business.

17. Permissible activities.

(1) A non-deposit taking credit provider may engage in—

(a) granting of loans or credit facilities, whether or not digitally, to members of the public or a section of it, with or without interest, and either secured or unsecured on the goods or assets purchased;

(b) asset financing whether directly or through a third-party financier;

(c) buy now pay later arrangements as determined by the Bank but does not include hire purchase agreements under the Hire-Purchase Act (Cap. 507);

(d) stock now pay later arrangements as determined by the Bank but does not include hire purchase agreements under the Hire-Purchase Act (Cap. 507);

(e) providing credit guarantees, except as prohibited by any other written law;

(f) pay as you go arrangements as maybe determined by the Bank;

(g) peer to peer lending under collective investment schemes regulated under the Capital Markets Act (Cap. 485A) and other forms of peer-to-peer lending as approved by the Bank;

(h) any other activity as the Bank may determine to be a non-deposit taking credit business for purposes of the Act; and

(i) any other activity incidental to non-deposit taking credit business as may be approved by the Bank.

(2) Subject to paragraph (1)(g), a letter of no objection shall be required to be obtained from the Capital Markets Authority before the Bank's approval.

18. Prohibited activities.

(1) A non-deposit taking credit provider shall not engage in—

(a) deposit taking business;

(b) taking of cash as security for loans;

(c) savings including lock savings, investment or goal accounts;

(d) collection of registration fees, membership fees, and any other fees as may be determined by the Bank from time to time, from loan applicants or borrowers;

(e) money pools for fundraising and related activities;

(f) credit reference bureau business;

(g) dealing in foreign exchange business;

(h) disbursing loans in foreign denominated currencies;

(i) payment services and transfer of funds;

(j) trust operations; and

(k) any other activity as the Bank may determine.

(2) A non-deposit taking credit provider shall not enter into a credit arrangement that is merely incidental to the sale of goods and provision of services.

(3) Subject to paragraph (2) "merely incidental" means a credit arrangement which does not form the core business of an entity, but is offered from time to time to customers to enable them to access goods and services offered by a seller but does not include hire purchase or leasing business.

(4) Without prejudice to subregulation (1), a non-deposit taking credit provider shall not, as a prerequisite to offer a loan or loan product, require a potential customer to undertake the activities more particularly described in paragraph (1)(a), (b), (c) and (d) from its associates before obtaining the loan or loan product from the non-deposit taking credit provider.

(5) A non-deposit taking credit provider who contravenes the provisions of paragraph (1) and (2) shall be liable to assessment of penalties or other administrative sanctions as provided for in these Regulations.

19. Restrictions on ownership by deposit taking institutions.

(1) A person licensed under any other written law to conduct deposit taking business shall not, directly or indirectly, whether alone or with his associates, seek for a licence or registration as a non-deposit taking credit provider under these Regulations.

(2) The Bank may exempt a non-deposit taking credit provider from the provisions of this regulation on such conditions as the Bank may consider necessary.

20. Restrictions on shareholding by director.

Where a director in a non-deposit taking credit provider intends to become a shareholder in another non-deposit taking credit provider, such director shall be required to demonstrate to the Bank that—

(a) the director does not have direct or indirect interest in the other non-deposit taking credit provider which exceeds its share capital;

(b) the director does not consult for the other non-deposit taking credit provider;

(c) the director shall be able to effectively discharge their role in the non-deposit taking credit provider;

(d) the resources for investment shall not be from the business activities of non-deposit taking credit provider where they are directors; or

(e) any other related matter.

21. Suspension or revocation of licence or registration.

(1) The Bank may suspend or revoke a licence or registration if a non-deposit taking credit provider—

(a) fails to comply with any administrative action imposed under the Data Protection Act (Cap. 411C), including any enforcement notice or order for compensation issued by the Office of Data Protection Commissioner;

(b) fails to comply with the provisions of Part VII of the Consumer Protection Act (Cap. 501);

(c) fails to comply with any administrative action imposed under the Competition Act (Cap. 504) for acts relating to unconscionable behaviour, and false and misleading information, amongst others;

(d) fails to comply with the Proceeds of Crimes and Anti-Money Laundering Act (Cap. 59A), the Prevention of Terrorism Act (Cap. 59B);

(e) fails to comply with the Land Act (Cap. 280) with respect to recovery of securities relating to land;

(f) fails to comply with the Movable Properties Securities Rights Act (Cap. 499A) with respect to secure storage and recovery of securities relating to movable securities;

(g) contravenes any of its licensing or registration conditions;

(h) fails to pay the annual fees within the prescribed period or a monetary penalty that is imposed by the Bank;

(i) fails to comply with a guideline, circular or directive issued by the Bank;

(j) fails to comply with any administrative sanction the Bank may impose;

(k) fails to take timely corrective measures as the Bank may direct;

(l) is found to have given false information during the licence or registration application process;

(m) has contravened any of the provisions of the Act, any other relevant written law relating to non-deposit taking business;

(n) fails to comply with the Code of Conduct submitted to the Bank;

(o) fails to conclusively address a customer's complaint in the manner and within the time prescribed by the Bank under these Regulations or as the Bank may direct;

(p) imposes unreasonable or unjustifiable charges on a loan;

(q) fails to comply with any directive by the bank to refund any money in form of charges to a customer which were not disclosed in the loan agreement;

(r) fails to commence business within twelve months from date of licensing or registration;

(s) fails, or is unable, to conduct a viable non-deposit taking business for such period as the Bank may determine;

(t) fails to file prescribed returns within the appropriate period;

(u) conducts its business in a manner detrimental to the interests of its customers or members of the public;

(v) carries on a prohibited activity;

(w) engages in an illegal activity;

(x) applies to the Bank for revocation of its licence or certificate of registration;

(y) ceases to carry on the business of a non-deposit taking credit provider; or

(z) goes into liquidation, or an order is issued for its winding up.

(2) The Bank shall—

(a) inform the non-deposit taking credit provider, in writing, of the reasons for the intended suspension or revocation prior to suspending or revoking a licence or registration; and

(b) give the non-deposit taking credit provider an opportunity to be heard prior to suspending or revoking a licence or registration.

(3) The Bank shall specify the period of suspension for a non-deposit taking credit provider's licence or registration, and shall at the expiry of that period, and fulfilment of any condition imposed, lift the suspension as the Bank considers appropriate.

(4) A non-deposit taking credit provider whose licence or registration has been suspended shall not grant new loans or carry on other permissible activities but may continue receiving loan repayments and settle its liabilities.

(5) The Bank shall, within thirty days of the suspension or revocation, publish in the *Gazette*, the names of non-deposit taking credit providers whose licences or registration have been suspended or revoked.

(6) A non-deposit taking credit provider whose licence or registration has been revoked shall cease to conduct business.

(7) Where a licence or registration has been revoked, the Bank may, by notice in writing—

(a) require the non-deposit taking credit provider to transfer to each customer the records relating to the financial affairs of the customer held at any time, in such manner, as the Bank may specify in the notice;

(b) require the non-deposit taking credit provider to update the credit reference bureau records of its customers;

(c) permit the non-deposit taking credit provider, subject to such conditions as the Bank may specify in the notice, to carry on business operations for the purpose of closing down the business connected with the revocation; or

(d) permit the non-deposit taking credit provider to collect or recover loan repayments and settle its liabilities to third parties for such period and on such conditions as the Bank may specify.

22. Amalgamations and transfer of assets, liabilities, and shares.

(1) A non-deposit taking credit provider shall not, except with the prior written approval of the Bank—

(a) sell or transfer whole or part of its non-deposit taking credit business to another person except to another non-deposit taking credit provider; or

(b) enter into an amalgamation with another non-deposit taking credit provider.

(2) For purposes of considering an application for approval under paragraph (1), the Bank may request for such information from the non-deposit taking credit provider as it may require.

(3) Notwithstanding subregulation (1), a non-deposit taking credit provider shall not require the prior approval of the Bank for the sale or disposal of property, whether movable or immovable in the ordinary course of business.

(4) A non-deposit taking credit provider shall notify the Bank at least thirty days before entering into any agreement or arrangement with a third party for purposes of investing in the non-deposit taking credit provider or financing the activities of the non-deposit taking credit provider.

(5) A non-deposit taking credit provider shall not transfer ten percent or more of its shareholding or beneficial interest to another person without prior approval of the Bank.

(6) A non-deposit taking credit provider shall not transfer fifty percent or more of its shares to another person, whether at once or over a period, before the lapse of twelve months from the date of commencement of the business.

(7) Any transfer of shares by a non-deposit taking credit provider to another person below the threshold under paragraph (5) shall be notified to the Bank within such period as the Bank may specify.

(8) A person shall not, in relation to a non-deposit taking credit provider, acquire ten percent or more of the shareholding, unless the person has been certified by the Bank as fit and proper in accordance with the criteria set out in the Second Schedule.

(9) The Bank may direct a non-deposit taking credit provider to submit such additional information and documents as it may consider necessary for purposes of considering any transaction, agreement, arrangement or transfer under this Regulation.

(10) The Bank may by a notice in the *Gazette*, exempt a registered non-deposit taking credit provider from any of the provisions of this Regulation for such period as may specified in such notice.

(11) A non-deposit taking credit provider intending to acquire another non-deposit taking credit provider or to merge with a non-deposit taking credit provider shall furnish the Bank with a letter of no objection or authorization from the Competition Authority of Kenya.

23. Risk management.

(1) A non-deposit taking credit provider shall put in place a risk management framework consistent with its business model that ensures that all relevant risks it faces are identified, assessed and mitigated.

(2) Without prejudice to paragraph (1), the risk management framework shall cover all relevant risks including—

(a) strategic risk;

(b) credit risk;

(c) operational risk;

(d) compliance risk;

(e) reputation risk;

(f) information and technology risk;

(g) cybersecurity risk;

(h) model risk;

(i) data privacy risk;

(j) liquidity risk;

(k) money laundering and terrorism financing risks; and

(l) any other risk relevant to the non-deposit taking credit provider.

24. Provision of credit.

(1) A non-deposit taking credit provider may extend loans or offer loan products to its customers subject to these Regulations, other relevant written laws, its credit policy and any other

requirements issued by the Bank, and shall clearly state the terms and conditions of the loans, digitally or in a written agreement.

(2) A non-deposit taking credit provider may, in its credit policy, set parameters for determining borrower credit limits.

(3) A non-deposit taking credit provider shall provide a copy of the loan agreement to the borrower at the time of signing the contract whether physically or electronically.

(4) A non-deposit taking credit provider shall at any time after disbursement of the loan furnish the borrower with a copy of the loan agreement upon request.

25. Credit policy.

(1) A non-deposit taking credit provider shall formulate a credit policy consistent with the Act, other relevant written laws and Part III, V and VII of the Consumer Protection Act (Cap. 501).

(2) The credit policy referred to under paragraph (1) shall at a minimum include—

(a) the target customer segments;

(b) the lending procedures and documentation;

(c) the eligibility requirements for a loan;

(d) the loan processing time upon submission of a complete loan application;

(e) the channel for loan disbursement;

(f) the cooling off period;

(g) the types of loans, tenure and frequency of payments;

(h) the number of loans allowed for each borrower;

(i) the loan tenures;

(j) the repayment period, where different from the loan tenure;

(k) the types of acceptable collateral, if applicable;

(l) the role of guarantors;

(m) the minimum and maximum loan limits per product, if applicable;

(n) the loan limits per borrower, if applicable;

(o) the credit assessment method including any models to determine borrower's loan limit;

(p) the loan limit review cycle;

(q) the loan pricing which includes interest rates, fees, and charges;

(r) the loan approval process;

(s) the determination of the borrower's ability to repay the loan;

(t) the loan guarantee requirements;

(u) the monitoring and evaluation of credit quality;

(v) the grace period after due date, if applicable;

(w) the loan recovery and follow-up procedures;

(x) the criteria and procedure for restructuring of loans;

(y) the criteria and procedure for approval and authorization for writing off bad loans;

(z) the provision of notice before and after listing with a credit reference bureau;

(aa) the management of non-performing loans including loan portfolio management;

(bb) the measures in place to ensure that the accrued interest does not exceed the outstanding principal; and

(cc) the justification for the use of either reducing balance or otherwise.

(3) The credit policy shall be aligned to the size of the non-deposit taking credit provider, and the nature and complexity of the products offered by the non-deposit taking credit provider.

26. Products.

(1) A non-deposit taking credit provider shall not introduce a new non-deposit taking credit product to the market or vary the features of an existing product, including the interest rates, without the prior written approval of the Bank.

(2) Without prejudice to paragraph (1) a non-deposit taking credit provider proposing to change the features of a product or interest rates shall provide justification for the intended variation.

(3) A non-deposit taking credit provider shall notify its customers of any variations in product features or interest rates at least thirty days before the variations take effect.

27. Channel delivery.

(1) A non-deposit taking credit provider shall notify the Bank of its intention to introduce a new delivery channel, thirty days before roll out.

(2) Without prejudice to paragraph (1), a non-deposit taking credit provider shall notify the Bank of the —

(a) unique identifying account number issued by a mobile money operator to be used for disbursements and repayments of loans;

(b) app-based platforms to be launched; and

(c) name of bank and number of accounts to be operated.

(3) With respect to app-based and other digital platforms, a non-deposit taking credit provider shall make provision for unsubscribing or opting out from the service including from receiving marketing messages upon full repayment of the loan and from receiving marketing and promotional communications.

(4) A non-deposit taking credit provider shall ensure that the delivery channels used to provide services are—

(a) available at all times;

(b) safe;

(c) protected against fraud or misuse by third parties;

(d) easy to access and use; and

(e) affordable.

28. Credit appraisal.

(1) A non-deposit taking credit provider shall—

(a) consider a loan application in accordance with its credit policy;

(b) take reasonable steps to assess the customer's ability to repay the credit facility;

(c) ensure it does not enter into a reckless credit agreement with a customer;

(d) consider the outcome of the credit risk assessment of a borrower in determining the interest rate or other charges for that borrower; and

(e) assess any relevant risk before granting a loan to an applicant.

(2) Where a loan application is denied, a non-deposit taking credit provider shall immediately communicate the decision to the applicant and shall state the reasons for the decision.

(3) Subject to its credit policy, a non-deposit taking credit provider may restructure a loan in terms of instalment amount, payment period or other terms upon receipt of a request from a borrower or on prior notification to the customer.

29. Limit on interest recoverable from non-performing loans.

(1) A non-deposit taking credit provider shall be limited in what it may recover from a customer with respect to a non-performing loan to the maximum amount under paragraph (2).

(2) The maximum amount referred to in paragraph (1) is the sum of the—

(a) the principal owing when the loan becomes non-performing;

(b) interest in accordance with the contract between the customer and the non-deposit taking credit provider, not exceeding the principal owing when the loan becomes non-performing; and

(c) reasonable expenses incurred in the recovery of any amounts due and payable.

(3) Where a loan becomes non-performing and the customer resumes payments on the loan and the loan subsequently becomes non-performing once more, the limitation under paragraph (2)(a) and (b) shall be determined with respect to the time the loan last became non-performing.

(4) This Regulation shall not apply to limit any interest under a court order accruing after the order is made.

(5) Except as provided for under paragraph (4), a person shall not recover any interest, in excess of outstanding principal amount.

(6) No interest which is otherwise not directly recoverable from a borrower under paragraph (2)(b), shall be recovered through a judicial process.

30. Credit collection.

(1) A non-deposit taking credit provider, its senior officers, employees, or outsourced service providers shall not, in the course of debt collection, engage in any of the following conduct against a customer or any other person—

(a) use of threat, violence or other means to harm a person, or his reputation or property if he does not settle his loan;

(b) use of obscene or profane language sent to a customer or the customer's references or contacts for purposes of shaming him;

(c) access a customer's phone book or contacts list and other phone records for purposes of sending them messages in the event of untimely payment or non-payment of a loan;

(d) post a customer's personal or sensitive information online or on any other forum or medium for purposes of shaming him;

(e) making unauthorized or unsolicited calls or messages to a customer's phone contacts and other contacts;

(f) employ any improper or unconscionable debt collection tactic, method or conduct;

(g) any other conduct whose consequence is to harass or oppress a customer;

(h) abuse any person in connection with the collection of a debt;

(i) make calls to a borrower or any other person outside of working hours;

(j) collect or repossess physical security using violence and other forms of harassment or intimidation;

(k) take away essential personal effects of a borrower in the course of collecting, repossessing or realizing security; or

(l) any other conduct which goes against the laid out procedures in Auctioneers Act (Cap. 526) and the relevant rules thereunder.

(2) A non-deposit taking credit provider shall not recover any charges which were not disclosed in the contract signed and given to the customer at the point of contracting.

(3) A non-deposit taking credit provider shall comply with the Part IX of the Land Act (Cap. 280) with respect to recovery of securities relating to land.

(4) A non-deposit taking credit provider shall comply with the Movable Properties Securities Rights Act (Cap. 499A) with respect to recovery of securities relating to movable securities, except that a notice of thirty days shall be given before the sale of a borrower's property.

(5) The Bank may direct a non-deposit taking credit provider to refund to a customer—

(a) any money recovered in excess of the amount due and owing or in breach of contract; or

(b) any money recovered in the form of charges which were not disclosed in the loan agreement.

31. Outsourcing.

(1) A non-deposit taking credit provider may outsource some of its material services to a third-party service provider but such services shall not include—

(a) the final decision to grant loans;

(b) management and control of the non-deposit taking credit provider;

(c) decision-making by the board;

(d) determination of compliance with applicable laws and Regulations; and

(e) management of the loan portfolio.

(2) Where an outsourcing arrangement has been entered into, the non-deposit taking credit provider shall remain liable for all acts and omissions of the third-party service provider.

(3) A non-deposit taking credit provider shall notify the Bank at least thirty days prior to entering into an outsourcing arrangement with a third-party service provider and shall submit—

(a) details of the proposed outsourced third-party service provider;

(b) a brief background information on the shareholders, directors, senior officers, nature of business and business record of the proposed third-party service provider and in the case of a natural person, the nature of business and business record of the person; and

(c) description of the services to be outsourced.

(4) An outsourced third-party service provider shall ensure—

(a) the safety, security and confidentiality of customer information and that of the non-deposit taking credit provider;

(b) ethical means in rendering services including dealing with customers, where applicable; and

(c) compliance with relevant provisions of the Act, any other relevant written laws and any directive or guideline which may be issued by the Bank.

(5) The contract signed between a non-deposit taking credit provider and a third-party service provider shall expressly provide for the Bank's—

(a) right of oversight and access to the service provider's premises, books, records, systems, employees; and

(b) any other information that the Bank may require for the proper discharge of its functions under the Act.

(6) For purposes of this Regulation, material outsourcing arrangements includes services offered by a Critical Third-Party Technology Service Provider the failure or disruption of which could significantly impair a non-deposit taking provider's viability, critical operations, or ability to meet key legal and regulatory compliance obligations.

(7) In considering the materiality of outsourcing, a non-deposit taking credit provider shall consider—

(a) the level of importance of the activity being outsourced;

(b) the potential impact of the outsourcing on the non-deposit taking credit provider on various parameters such as earnings, solvency, liquidity, funding and capital and risk profile;

(c) the likely impact on the non-deposit taking credit provider's reputation and brand value, and ability to achieve its business objectives, strategy and plans, should the third-party service provider fail to perform the service;

(d) the cost of the outsourcing as a proportion of total operating costs of the non-deposit taking credit provider;

(e) the aggregate exposure to that particular third-party service provider, in cases where the non-deposit taking credit provider outsources various activities to the same service provider; and

(f) if the activity accounts for at least five percent of the non-deposit taking credit provider's revenues or costs.

32. Confidentiality.

(1) A non-deposit taking credit provider shall put in place appropriate policies, procedures and systems to ensure the confidentiality of customer information and transactions.

(2) A non-deposit taking credit provider shall not share customer information with any other person except with the customer's express consent, or as may be required or permitted under any written law.

(3) The directors, senior officers, employees, and third-party service providers of a non-deposit taking credit provider shall protect the confidentiality of customer information and transactions.

(4) A director, senior officer or employee of a non-deposit taking credit provider shall not during, or upon and after termination of engagement or employment with the non-deposit taking credit provider, except in the proper course of his duty and with the non-deposit taking credit provider's written consent, divulge or make use of any confidential information, secrets, copyright material, or any correspondence, accounts of the non-deposit taking credit provider or its customers.

33. Exchange of credit information.

(1) Notwithstanding any other provision in these Regulations, a non-deposit taking credit provider shall disclose credit information of its customers to licensed credit reference bureaus, for the

discharge of the functions of the non-deposit taking credit provider or the licensed credit reference bureaus.

(2) A non-deposit taking credit provider may obtain credit information of its customers from a licensed credit reference bureau, where such information is required for the discharge of the functions of the non-deposit taking credit provider.

(3) A non-deposit taking credit provider shall not submit negative credit information of a customer to a credit reference bureau where the outstanding amount relating to the credit information does not exceed one thousand shillings.

(4) A non-deposit taking credit provider submitting credit information to a bureau shall ensure that such information is timely, complete and accurate.

(5) A non-deposit taking credit provider shall promptly rectify its record upon being notified by a person or a customer of false or inaccurate credit information submitted to a bureau.

(6) A non-deposit taking credit provider who intends to furnish negative information to a bureau with respect to a customer shall, in writing or through a recorded electronic means, notify the customer of the intention to submit the negative information at least thirty days before submitting the negative information to the bureau or within such shorter period as the contract between the non-deposit taking credit provider and the customer may provide:

Provided that a shorter pre-listing notice shall not be less than seven days for loans whose repayment interval is less than thirty days.

(7) A non-deposit taking credit provider who has furnished credit information to a bureau shall, within thirty days from the date the information was furnished to a bureau, notify the customer that the customer's credit information has been forwarded to the bureau.

(8) No suit, prosecution or other legal proceedings shall lie against the Bank, director, member, auditor, adviser, senior officer or other employee or agent of the Bank, credit reference bureau, a non-deposit taking credit provider for any loss or damage caused or is likely to be caused by anything which is done or intended to be done in good faith in pursuance of these Regulations or under the Banking (Credit Reference Bureau) Regulations (L.N. 55/2020).

(9) A non-deposit taking credit provider shall ensure compliance with Data Protection Act (Cap. 411C) when disclosing or sharing credit information.

34. Restrictions on use of credit information.

(1) A non-deposit taking credit provider shall not use credit information obtained from a bureau for any purpose other than for reaching decisions on transactions concerning a customer, and on matters concerning an employee or a potential employee of the non-deposit taking credit provider or for any other purpose as may be authorized under these Regulations or any other written law.

(2) A non-deposit taking credit provider shall not release information obtained from a credit reference bureau to any third party except as may be required under these Regulations or any other relevant written law, or to a non-deposit taking credit provider's appointed agent for the purpose of assisting the non-deposit taking credit provider in the recovery of any of the non-deposit taking credit provider’s debts.

(3) A non-deposit taking credit provider shall take measures to safeguard the security of information provided to it by a credit reference bureau, or by it to a credit reference bureau.

35. Business continuity.

(1) A non-deposit taking credit provider shall put in place systems and processes for purposes of minimizing disruptions and ensuring business continuity.

(2) Without prejudice to the generality of paragraph (1), a non-deposit taking credit provider shall—

(a) back up its business information, particularly its financial records, customer records including transaction records, reports to the Bank and other information;

(b) ensure that a framework is put in place to ensure business continuity even in cases of major business disruptions; and

(c) ensure that the business is protected from risks including cyber security attacks and fraud.

36. Information and technology systems.

(1) A non-deposit taking credit provider shall use information and technology systems that are secure and reliable and which ensure information confidentiality, integrity and availability.

(2) A non-deposit taking provider shall notify the Bank of a change of its information and technology system.

(3) A non-deposit taking provider shall, where applicable, develop an information and technology policy which shall at a minimum cover—

(a) data encryption standards and guidelines;

(b) information security guidelines;

(c) application security;

(d) network access and requirements;

(e) password security for mobile applications and web platforms;

(f) audit log management;

(g) application auditing and monitoring;

(h) software change control procedures;

(i) backup policy;

(j) disaster recovery plan; and

(k) interoperability capability.

37. Accessibility for persons with disabilities.

A non-deposit taking credit provider shall ensure that—

(a) branches or other places of business are equipped with accessible ramps, counters and adequate signage to accommodate persons with physical and mobility impairments;

(b) websites, mobile applications and other digital platforms are accessible to persons with visual, auditory and cognitive impairments;

(c) staff are regularly trained to ensure that product and services offered by the non-deposit taking credit product remain accessible to persons with disability; and

(d) the non-deposit taking credit provider develops policies which address accessibility requirements for persons with disabilities.

Part V – CONSUMER PROTECTION

38. Suitability of product or service.

A non-deposit taking credit provider shall, prior to entering into a contract with a customer, inform the customer—

(a) of the freedom not to enter into the contract if the customer is not sure of the suitability of the product or service where the terms and conditions of the contract appear onerous; or

(b) of the difficulty of the contract performance owing to the financial position of the customer; or

(c) of any other condition making the product or service unsuitable for the customer.

39. Access to transaction and credit information.

(1) A non-deposit taking credit provider shall—

(a) generate and issue a receipt or any other acknowledgement of transactions carried out by or with a customer, through electronic means or any other medium;

(b) upon request by a customer, the non-deposit taking credit provider shall issue a customer with a free loan statement—

(i) detailing the principal amount advanced and owing;

(ii) total amount of interest charged, paid and owing;

(iii) interest rate applied from date of loan agreement; and

(iv) nature and amount of charges imposed;

(c) provide a mechanism through which a customer may from time to time access his loan statement using any convenient and easy-to-access communication channel including through digital or electronic means;

(d) upon request by the customer generate and issue the customer with a comprehensive statement of transactions carried out by or with the customer through a specified period of time; and

(e) maintain an updated customer's financial records.

(2) A non-deposit taking credit provider shall, on its own motion or upon notification, promptly rectify any error in a loan statement or financial record of a customer.

(3) A non-deposit taking credit provider shall keep a guarantor constantly informed of the loan performance status through periodic loan statements sent to the guarantor through any convenient and verifiable means.

40. Customer complaints resolution.

(1) A non-deposit taking credit provider shall establish a complaints redress mechanism and ensure proper communication of this mechanism to its customers.

(2) A non-deposit taking credit provider shall deal with complaints from a customer promptly.

(3) Where it is not practicable to deal with the complaint promptly, the non-deposit taking credit provider shall, within seven days of receipt provide the complainant with a prompt acknowledgement that it has received the complaint and that the complaint is being dealt with.

(4) Where a complaint submitted orally is not resolved within forty-eight hours, a non-deposit taking credit provider shall confirm to the complainant in writing, through electronic means or through

other means agreeable to the complainant of the existence of the complaint and that the complaint is still pending resolution by the non-deposit taking credit provider.

(5) A customer complaint shall be resolved immediately, and where immediate resolution is not possible, the complaint shall be resolved within thirty days of a customer reporting a complaint to a non-deposit taking credit provider.

(6) A non-deposit taking credit provider shall maintain a record of all complaints received, which record shall include—

(a) date of which the complaint was received;

(b) nature of complaints;

(c) number of complaints resolved;

(d) reasons for the pending complaints;

(e) time taken to resolve the complaints; and

(f) the outcome of the resolution.

(7) A non-deposit taking credit provider shall provide the Bank with a report, in such form as the Bank may specify concerning its receipt and handling of customer complaints.

41. Fairness.

(1) A non-deposit taking credit provider shall not—

(a) engage in unfair, deceptive, oppressive or aggressive practices such as threatening, intimidating, being violent towards, abusing, being non-responsive or humiliating a customer;

(b) offer, accept or ask for bribes or other gifts as an incentive to serve a customer;

(c) require a borrower to recruit other potential borrowers to earn points to qualify for any benefit;

(d) discriminate against any customer on the grounds of sex, race, colour, ethnic or social origin, tribe, birth, creed or religion, political opinion, disability, pregnancy, marital status, health status, conscience, belief, culture, dress or language;

(e) mislead or misadvise a customer; or

(f) lend recklessly or negligently to customers.

(2) A non-deposit taking credit provider shall not require a customer to purchase another product as a pre-condition to access the preferred product.

42. Guarantor's liability.

(1) A non-deposit taking credit provider shall confirm that the consent of a person has been sought and obtained before the person is appointed as a guarantor by a borrower.

(2) A person shall not be held liable as a guarantor unless his consent had been sought and obtained to guarantee a loan.

(3) A non-deposit taking credit provider shall only seek recourse to a guarantor after all non-judicial means of recovery against the borrower have been exhausted.

(4) A non-deposit taking credit provider shall not make a repayment demand to a guarantor or any other person unless the customer is in default and guarantor or other person has been given fourteen days' notice of the borrower's default.

(5) This regulation does not prevent a non-deposit taking credit provider from updating a guarantor on the borrower's loan performance status.

43. Expenses for loan recovery.

Where a customer is unable to repay a loan as per agreed terms and conditions of the loan contract and the non-deposit taking credit provider has to incur expenses to recover the outstanding amount, the non-deposit taking credit provider shall—

(a) incur expenses that are absolutely necessary for the recovery of the amount;

(b) provide the consumer with a detailed breakdown of the costs and expenses incurred and the justification for such costs or expenses; and

(c) in the case of the sale of the property of a customer or a guarantor, ensure that the sale is transparent.

44. Debt collection.

Where a non-deposit taking credit provider plans to outsource collection of a debt, the person who can collect the debt and the manner in which the debt may be collected shall be brought to the customer's knowledge before commencement of the debt collection by the outsourced debt collector.

45. Reliability

A non-deposit taking credit provider shall—

(a) update customer personal and contact records from time to time and in any case not later than two years;

(b) provide services in a reliable manner;

(c) use delivery and communication channels which are reliable; and

(d) ensure that customer-facing staff are persons who are reliable and of high integrity.

46. Staff oversight

A non-deposit taking credit provider shall—

(a) screen staff prior to appointment;

(b) periodically screen staff to assure itself of integrity of the staff and that they carry out their responsibilities ethically and in compliance with all applicable laws and guidelines of the Bank;

(c) exercise oversight over its staff and shall continuously monitor activities of staff who are in direct contact with customers or customers' information; and

(d) take appropriate action against any senior officer, employee, or outsourced third party service provider who, in the discharge of his responsibilities to the non-deposit taking credit provider or a customer, does not comply with applicable laws and guidelines of the Bank.

47. Transparency

A non-deposit taking credit provider shall at a minimum—

(a) ensure that any information given to a consumer on the product or services, whether in writing, electronically or orally, is fair, clear and transparent to enable a customer make an informed choice on a product or service;

(b) where a consumer is unable to understand written information, explain orally to the consumer the written information;

(c) ensure that where an oral explanation has been provided to the consumer, the consumer shall sign as evidence that an oral explanation has been given, where the nature of the transaction would necessitate such confirmation by the consumer;

(d) ensure that information on its products and services is updated and current and easily available at its branches, websites and any other communication channels which it uses;

(e) ensure that it discloses at its branches, websites, advertisements, promotional materials and any other communication channels which it uses that it is regulated by the Bank;

(f) disclose its true identity including its company name in the correspondence, documents and other written instruments which it issues in the course of its business generally or while dealing or contracting with a customer; and

(g) educate its customers on its services and products including raising awareness on data protection.

(2) A non-deposit credit provider shall notify a borrower and his guarantor by means that are convenient and cost effective of the loan statement showing all balance changes, payments, withdrawals, disbursements, costs and any other financial liability that has accrued to that account.

48. Key information document

A non-deposit taking credit provider shall prepare and maintain key information documents which inform the customer of the fundamental benefits, risks and terms and conditions of the product or service, in a summarized form.

49. Use of different business name or tradename

Where a non-deposit taking credit provider uses a business name or trade name different from its company name, it shall conspicuously disclose the company name in all documents, communications and publications where the business name or trade name is used.

50. Customer obligations.

(1) A customer shall—

(a) seek and obtain the consent of a person before appointing them as loan guarantor;

(b) keep the guarantor informed of status of the outstanding loan;

(c) keep information received confidential and not to share his password with anybody;

(d) ensure frequent establishment from the non-deposit taking credit provider on the loan repayment status and notify the non-deposit credit provider in case of any discrepancy on the repayment records;

(e) act promptly on communications received from a non-deposit taking credit provider;

(f) not provide misleading information to a non-deposit taking credit provider;

(g) not establish a relationship with a non-deposit taking credit provider or transact under a false name or using falsified documents;

(h) inform a non-deposit taking credit provider of the level of indebtedness;

(i) provide an alternative contact through which communication may be made, if unreachable;

(j) inform the contact person that—

(i) the person has been listed as a contact person; and

(ii) that his or her contact details have been shared with a non-deposit taking credit provider; and

(k) notify a non-deposit taking credit provider of any change in their financial status and contact details or contact details of a listed contact person.

(2) A customer shall, in the first instance, lodge any complaint with the non-deposit taking credit provider.

(3) Where the complaint is not resolved or resolved to the satisfaction of the customer, the customer may lodge a complaint with the Bank.

51. Advertising, marketing and promotions.

A non-deposit taking credit provider shall ensure that—

(a) advertising, marketing and promotional materials are fair, clear and not misleading;

(b) advertising, marketing and promotional materials, whether in printed or digital form for financial products or services, shall include the annual percentage rate and components of total cost of credit;

(c) the annual percentage rate shall be expressed in easily understandable manner and prominently displayed in its business premises, website and other relevant publications;

(d) the total cost of credit shall be prominently displayed in its business premises, website and other relevant publications; and

(e) the information is written in simple language and legible format.

52. False advertisements.

(1) A non-deposit taking credit provider shall ensure that any advertisement or promotional materials that it published is fair, clear and does not include any false, misleading representation.

(2) Without prejudice to the generality of paragraph (1), a false, misleading representation includes—

(a) a representation that the credit facility has benefits or qualities that it does not in fact have;

(b) a representation that the non-deposit taking credit provider has an approval, status, affiliation or connection that it does not in fact have;

(c) an inaccurate or incomplete representation as to the interest rate, costs or charges payable under a credit facility; and

(d) use of a trade or business name which confuses or misleads members of the public as to the true identity of the non-deposit taking credit provider or the credit provider.

(3) A non-deposit taking credit provider shall ensure that—

(a) printed advertising for financial products that refer to an interest rate shall—

(i) state the total cost of credit;

(ii) specify whether the rate is monthly or annually; and

(iii) indicate if the rate is fixed or variable;

(b) the total cost of credit shall be prominently displayed in its business premises, website and other relevant publications.

53. Access and collection of customer information

A non-deposit taking credit provider shall only access and collect such customer information as is required for a customer's credit appraisal, approval, disbursement and collection.

54. Loan agreement.

(1) A non-deposit taking credit provider shall, physically or digitally, provide to a customer at the point of signing a loan agreement—

(a) a copy of executed physical or electronic loan agreement;

(b) repayment schedule;

(c) total cost of credit; and

(d) the terms and conditions applicable for the loan.

(2) After disbursement of a loan, a non-deposit taking credit provider shall furnish the borrower with a copy of the loan agreement upon request by the borrower.

(3) Where a loan is executed digitally, a non-deposit taking credit provider shall furnish the borrower with the copy of the electronic loan agreement through such means as may be acceptable and convenient to the borrower.

(4) The loan agreement referred to in paragraph (1) shall provide for—

(a) the loan amount;

(b) the loan charges and the circumstances under which they may be imposed;

(c) interest rate to be charged and whether on a reducing balance or otherwise;

(d) all other charges applicable to the loan;

(e) the date on which the amount of loan and all interest, charges, fees or any other liabilities are due and payable, and how they may be calculated;

(f) total cost of credit which shall include the principal amount, interest, fees, charges and any other liabilities;

(g) the agreed periodic interest rate and the annual percentage rate of interest;

(h) provisions allowing for early partial or full repayment of the loan without charge;

(i) the period within which credit information on non-performing may be submitted to a credit reference bureau;

(j) a statement on ability of a customer to access credit on being listed by a credit reference bureau;

(k) customer complaint handling channels and procedures; and

(l) such other information as is necessary for purposes of the loan agreement.

(5) The loan agreement shall be clear, simple and easily accessible format and in a language that a borrower understands.

(6) Except as is expressly provided for in a loan agreement, any variation to the terms or conditions of a loan agreement shall be agreed between a non-deposit taking credit provider and the borrower in the same manner as the original loan agreement.

(7) A non-deposit taking credit provider shall not vary the terms and conditions of the loan agreement without at least thirty days prior notification to the borrower and the borrower accepts such variation.

(8) The notification under paragraph (7) shall clearly disclose to the customer the changes in the credit terms.

(9) Despite paragraph (4)(1)(c), where a loan agreement includes a balloon payment, the agreement shall clearly indicate—

(a) the amount of the balloon payment;

(b) the date on which the balloon payment becomes payable;

(c) the consequences of failing to make the balloon payment; and

(d) any other relevant matter.

(10) For the purposes of this Regulation, a "balloon payment" means a final or deferred payment that is substantially larger than the preceding periodic instalments payable in advance under a loan agreement whose tenure typically exceeds twelve months.

55. Variation of pricing parameters and credit terms.

(1) A non-deposit taking credit provider shall not change its pricing parameters and credit terms without the prior written approval of the Bank.

(2) Subject to paragraph (1) a non-deposit taking credit provider shall give at least thirty-days' notice to the customer of the intended changes to pricing parameters and credit terms and the customer has accepted the changes.

56. Loan repayment.

(1) A non-deposit taking credit provider shall credit a borrower's account with the amount received from the borrower as loan repayment on the date payment is made.

(2) The repayment amount referred to in paragraph (1) shall be allocated in the following manner—

(a) settle any due principal payment;

(b) any outstanding fees and charges on the loan; and

(c) interest due on the loan.

(3) A borrower has the right, to repay a loan prior to its maturity either in whole or in part to reduce outstanding principal amount owed, interest charges or fees owed without advance notice and without being penalized by a non-deposit taking credit provider.

(4) Subject to paragraph (3), where the loan is repaid in full prior to its maturity, the borrower shall not be required to pay interest for the remaining period to maturity.

57. Non-performing loans.

(1) A loan with a specific repayment date shall be considered non-performing where—

(a) the principal or interest remains outstanding after thirty days where the loan contracted is for thirty days or less;

(b) the principal or interest remains outstanding after ninety days where the loan contracted is for more than thirty days; or

(c) any of its contractual obligations for payment has become due and unpaid for such period as is specified in the loan agreement.

(2) A non-deposit taking credit provider shall specify in its credit policy the default period within which a loan may become non-performing.

(3) A loan agreement between a non-deposit taking credit provider and borrower shall specify the default period within which the loan may become non-performing.

58. Consent to process data.

(1) A non-deposit taking credit provider shall process the personal data of customers lawfully, fairly and transparently.

(2) Where a non-deposit taking credit provider processes the personal data of a customer, the non-deposit taking credit provider shall ensure that the consent from a customer is—

(a) express, freely given, specific and unambiguous;

(b) separately obtained through a consent form developed by the non-deposit taking credit provider which should not form part of or be incorporated in the letter or offer executed or terms and conditions accepted by the customer;

(c) capable of being withdrawn by the customer; and

(d) verifiable and forms part of the record of the customer's information; and

(3) A non-deposit taking credit provider shall inform the customer—

(a) of the types of personal data which will be processed;

(b) who may have access to the personal data; and

(c) of the duration of retention of the customer's personal data.

(4) Subject to paragraph (3)—

(a) a privacy notice, or general notice of a similar nature shall not satisfy the obligation by a non-deposit taking credit provider to give their express consent as required under this Regulation; and

(b) the information in paragraph (3), shall form the minimum information contained in the consent form to be signed or accepted by the customer.

(5) A non-deposit taking credit provider that fails to comply with paragraph (1) shall be subject to any administrative action imposed under the Data Protection Act (Cap. 411C).

59. Pricing parameters.

(1) A non-deposit taking credit provider shall develop and implement a pricing model which outlines clear pricing parameters.

(2) The pricing model shall comply with credit pricing principles and shall contain the—

(a) components of pricing clearly identified and outline each element incorporated including cost of funds, cost of capital, cost of operations, return to shareholders, risk premium, and other fees and charges;

(b) costs clearly identified and justified and which costs shall be directly related to lending and any other costs which shall be supported and justified;

(c) risk profile of customer which shall be taken into account through evaluation of each individual customer's credit behavior enabling a non-deposit taking credit provider to apply differential interest rates based on a customer's credit-worthiness;

(d) criteria for determining non-performance;

(e) credit reference bureau information through incorporation of credit reference bureau scores;

(f) all-inclusive pricing which shall include all other charges except third party costs; and

(g) full disclosure of the annual percentage rate to be charged to a borrower as applied on a loan.

60. Use of artificial intelligence.

A non-deposit taking credit shall, when using artificial intelligence for making lending decisions, ensure that—

(a) automated decisions are explained to customers where they affect a loan application;

(b) customers are informed when they are interacting with an artificial intelligence system and not a human agent;

(c) human oversight and review of artificial intelligence decisions and automated credit decisions is retained;

(d) risk assessments are undertaken to identify and mitigate discriminatory bias and unfair outcomes from data collected on the customers;

(e) artificial models deployed are technically robust, accurate, and capable of making correct judgments;

(f) artificial intelligence algorithms, logic, data and design processes are transparent, accountable and explainable; and

(g) data privacy and security concerns are adequately managed.

61. Compliance with cyber security standards.

(1) A non-deposit taking credit provider shall comply with appropriate technical and operational cybersecurity standards.

(2) Without prejudice to paragraph (1), non-deposit taking credit provider shall—

(a) adopt the necessary infrastructure to monitor, detect, prevent, and respond to cyber threats to the integrity of a customer's data;

(b) ensure staff have the requisite skills and continually build capacity to identify sources of cybercrime and respond effectively to any cyber threats; and

(c) develop authentication controls to protect customer data, transactions and systems.

Part VI – ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM

62. Sources of funds.

(1) A non-deposit taking credit provider shall provide to the Bank evidence and sources of funds invested or proposed to be invested in the non-deposit taking credit business.

(2) A non-deposit taking credit provider shall demonstrate that the funds are its own funds and are not proceeds of crime.

(3) A non-deposit taking credit provider shall be required to notify the Bank prior to investing capital into the business.

(4) The notice referred to in paragraph (2) shall contain the—

(a) name of shareholder or proposed share investment;

(b) amount of capital to be invested;

(c) proposed shareholding structure after investment;

(d) beneficial owner; and

(e) source of the funds.

63. Customer identity.

(1) A non-deposit taking credit provider shall conduct customer due diligence and shall verify their identities using independent source documents.

(2) In case of non-face-face transactions, a non-deposit taking credit provider shall ensure that the identity document is that of the person actually transacting.

(3) A non-deposit taking credit provider shall guard against impersonation.

64. Compliance with anti-money laundering, financing of terrorism laws.

(1) A non-deposit taking credit provider shall comply with the Proceeds of Crime and Anti-Money Laundering Act (Cap. 59A) and the Prevention of Terrorism Act (Cap. 59B).

(2) A non-deposit taking credit provider who fails to comply with the Proceeds of Crime and Anti-Money Laundering Act (Cap. 59A), and the Prevention of Terrorism Act (Cap. 59B), shall be liable to assessment of penalties and other sanctions as set out in section 51B of the Act.

Part VII – REPORTING REQUIREMENTS AND OVERSIGHT BY THE CENTRAL BANK

65. Annual publication of licensed and registered non-deposit taking credit providers.

The Bank shall, before the 31st day of March in each year, publish the names and addresses of all licensed and registered non-deposit taking credit providers in the *Gazette* and the Bank's website.

66. Reporting requirements, onsite inspection and off-site monitoring.

(1) A non-deposit taking credit provider shall be subject to the Bank's onsite and off-site inspection, audit and monitoring and shall make such periodic reports and returns as may be specified by the Bank.

(2) The Bank may either directly or through a duly appointed person conduct inspection of a non-deposit taking credit provider, its agent or an outsourced third-party service provider.

(3) A non-deposit taking credit provider shall make its premises, systems, books and records readily available to the Bank, or its senior officers or any person appointed by the Bank for inspection, audit and other supervisory purposes.

(4) An outsourced third-party service provider shall grant the Bank, or its senior officers or any person appointed by the Bank full access to its premises, systems, books and records as it relates to the affairs of the non-deposit taking credit provider.

(5) The Bank may require a non-deposit taking credit provider to furnish it, at such time and in such manner as it may direct, with such information as the Bank may reasonably require for the proper discharge of its functions.

(6) Without prejudice to paragraph (1) and (2), a non-deposit taking credit provider shall, within ten days after the end of every reporting period, submit to the Bank reports and returns on the—

(a) monthly customer complaints;

(b) monthly customer data;

(c) monthly loan repayments;

(d) monthly number of loan accounts;

(e) list of shareholders, directors and senior officers on an annual basis;

(f) certified copy of certificate of registration issued pursuant to section 19 of the Data Protection Act (Cap. 411C), on an annual basis.

(g) name of bank of the non-deposit taking credit provider, number of accounts on an annual basis;

(h) borrowings by the non-deposit taking credit provider, highlighting date of loan, name of lender, amount borrowed, interest rate charged and outstanding amounts on a quarterly basis;

(i) quarterly unique account numbers issued by a mobile money operator;

(j) quarterly details on outsourced services;

(k) quarterly non-performing loans;

(l) quarterly current capital; and

(m) any other information as the Bank may require from time to time as may be specified by the bank.

(7) A non-deposit taking credit provider shall on or before the 31st day of December every year submit a return to the Bank certifying its compliance with these Regulations in such manner as the Bank may specify.

(8) A non-deposit taking credit provider shall notify the Bank within twenty-four hours of any fraud or cybersecurity incident, including the amounts involved, which may have a significant impact on the ability of the non-deposit taking credit provider to provide adequate services to its customers, its reputation or affect its status.

(9) The notification in paragraph (8) shall be in form 5 set out in the First Schedule.

67. Preparation and submission of financial statements

A non-deposit taking credit provider shall prepare and submit to the Central Bank audited financial statements and other disclosures within three months after the end of each financial year.

68. Disclosure of information by Bank

The Bank may disclose information obtained in performing its duties to a financial regulatory authority, financial intelligence unit, deposit insurance institution, fiscal or tax agency, or fraud investigations agency in or outside Kenya, if the disclosure is necessary for the proper discharge of the functions of the Bank or the requesting entity.

69. Power of Bank to advise and direct.

(1) If, at any time, the Bank has reason to believe that the business of a non-deposit taking credit provider is being conducted in a manner contrary to the Act these Regulations, other relevant written laws, guidelines or directives issued by the Bank, the Bank may—

(a) give advice and recommend to the non-deposit taking credit provider with regard to the conduct of non-deposit taking credit provider's business generally;

(b) issue directions regarding measures to be taken to improve the management or business methods of the non-deposit taking credit provider or to secure or improve compliance with the requirements of the Act and any other relevant law; or

(c) issue directions to the non-deposit taking credit provider, senior officer or other person to cease and desist from such practice.

(2) Before issuing any directions under paragraph (1), the Bank shall serve upon the non-deposit taking credit provider, senior officer, employee, or other person, a notice of issuing direction.

(3) The notice in paragraph (2) shall specify the reasons for issuing the direction.

(4) The person to whom the notice has been issued shall, within such period as may be specified in the notice, show cause why such direction should not be issued.

(5) A non-deposit taking credit provider, senior officer, employee, or other person who receives any directions under this regulation shall comply with the directions within such period as may be specified in the direction and, if so required, produce evidence of compliance.

(6) The Bank may issue directions to non-deposit taking credit providers generally for the better carrying out of its functions and in particular, with respect to—

(a) the standards to be adhered to by a non-deposit taking credit provider in the conduct of its business; and

(b) guidelines to be adhered to by non-deposit taking credit providers in order to maintain a stable and efficient financial system.

Part VIII – CODE OF CONDUCT

70. Objectives of the code of conduct.

(1) The objective of the code of conduct is to—

(a) ensure sound conduct of non-deposit taking credit business;

(b) establish standards to be adhered to by non-deposit taking credit providers; and

(c) ensure fair treatment of consumers of non-deposit taking credit business services and the public.

(2) A non-deposit taking credit provider shall have the responsibility to adopt appropriate processes and procedures to meet the objectives of this Code.

(3) Without prejudice to paragraph (2), the Bank shall be notified of any change in the code of conduct, at least thirty days, before being varied.

71. Guiding principles.

The relationship between a non-deposit taking provider and its customers shall be guided by the principles of—

(a) fairness;

(b) transparency;

(c) accountability; and

(d) reliability.

72. Application of the code of conduct

The code shall apply to a non-deposit taking credit provider senior officers, employees and any other persons acting on its behalf.

73. Establishment of industry body.

A non-deposit taking credit provider may for the purposes of enhancing the market conduct practice, pursuit of common interest and associated matters, participate in an industry association for non-deposit taking credit provider management body.

74. Skill, care and diligence

A non-deposit taking credit provider shall—

(a) act with due skill, care and diligence towards its customers and other stakeholders;

(b) have in place appropriate safeguards against occurrences of behaviour that constitute a lack of due skill, care and diligence amounting to culpable negligence or recklessness;

(c) train its staff; and

(d) apply the fit and proper test set out in the Second Schedule for its senior officers, employees and persons acting on its behalf.

75. Business integrity

A non-deposit taking credit providers shall—

(a) observe high standards of honesty, integrity and fairness;

(b) ensure that all business transactions are carried out and recorded accurately;

(c) not alter any financial records or information of a customer; and

(d) avoid misleading and deceptive acts or representations.

76. Conflict of interests.

(1) A non-deposit taking credit providers shall avoid situations of conflict of interests.

(2) Where a conflict arises, the non-deposit taking credit provider shall ensure the fair treatment of all its customers.

(3) In managing the conflict, the non-deposit taking credit providers may require disclosure, internal rules of confidentiality, or other appropriate methods or combinations of methods to be used.

77. Communicating with customers

A non-deposit taking credit providers shall—

(a) seek the necessary information about its customers' individual circumstances and financial objectives;

(b) ensure that customers are provided with accurate, timely and comprehensible information that would enable them to make informed decisions;

(c) provide information, including information about risks, required by the customer to make informed decisions; and

(d) provide timely and accurate reports to the customer about business undertaken with the customer.

78. Protection of collateral.

(1) A non-deposit taking credit provider shall protect any collateral of its customers over which it has control and custody.

(2) Collateral shall be properly marked with identifiable marks and shall be stored and well segregated from a non-deposit taking credit provider's own fixed assets.

(3) In case of insolvency, collateral shall be protected from loss.

79. Market conduct compliance

A non-deposit taking credit providers shall—

(a) observe high standards of market conduct; and

(b) in the conduct of its business activities comply with this regulations and applicable laws so as to promote the best interests of customers and the integrity of the non-deposit taking.

80. Financial resources.

(1) A non-deposit taking credit providers shall—

(a) maintain financial resources to meet its financial obligations;

(b) implement appropriate risk management policies in its business; and

(c) implement an effective control function to safeguard its financial resources.

(2) A non-deposit taking credit provider shall not engage in lending which may compromise its ability to fulfil its financial obligations using debt.

81. Internal affairs

A non-deposit taking credit provider shall responsibly and sustainably manage its business, maintain adequate controls and have proper systems and procedures for operations, record keeping, human resources, training, compliance, and other matters the Bank may require.

82. Market conduct obligations.

(1) To promote good market conduct practices, a non-deposit taking credit provider directly or through its senior officers, employees or outsourced third party service providers shall—

(a) act fairly, reasonably and ethically towards a customer;

(b) provide effective and adequate disclosure of information;

(c) provide terms and conditions of products and services;

(d) provide information in a clear, plain and understandable language format;

(e) ensure that its staff members attend to customer transactions and enquiries promptly;

(f) provide to a customer, the requisite notice before implementing changes in the terms and conditions, interest rates, fees and charges, the discontinuation of products and services and the relocation of premises;

(g) acknowledge a complaint received within the requisite period and address the complaint within the prescribed period;

(h) take reasonable measures to attend to the physical needs of persons with disabilities;

(i) treat customer information as private and confidential and may only disclose the information as prescribed;

(j) not discriminate against a customer;

(k) ensure that marketing and promotional material sent to a customer for advertising purposes are clear, fair, reasonable and not misleading;

(l) not to use customer information for marketing and promotional purposes when the customer has opted out of receiving marketing communication;

(m) provide a customer with information on total cost of credit including interest to be charged, relevant fees and charges for the services and products that customer has chosen or is enquiring about;

(n) inform a customer, at the time of establishing a business relationship, of his rights and obligations;

(o) provide to a customer or make available on request, regular statements of account to enable a customer to manage his loan account and verify entries on such account;

(p) take immediate steps to prevent access or misuse of a customer's account once notified by a customer of any fraud, attempted fraud, loss of a card or breach of password confidentiality;

(q) ensure that all products and services comply with relevant laws and Regulations and the standards set out in this Code;

(r) train its officers, employees and other persons on how to comply with these obligations;

(s) ensure that information on products and services is updated; and

(t) provide affordable credit services, taking into account the prevailing market conditions in the banking sector and the domestic economic situation of the country; and

(2) A non-deposit taking credit provider may, where it is registered or licensed or registered by the Bank, disclose in its advertisements, marketing and promotional material that it is regulated by the Bank.

(3) Subject to paragraph (2) the Bank's brand and identity including logos shall not be included in communication to customers.

83. Compliance with the code of conduct.

(1) A non-deposit taking credit provider shall comply with the code of conduct.

(2) The board and other senior officers of a non-deposit taking credit provider shall—

(a) be responsible for guiding business practices of the non-deposit taking credit provider for proper business conduct; and

(b) keep records of any arrangements made to comply with the code of conduct.

Part IX – ENFORCEMENT

84. Non-compliance

Non-compliance with the code of conduct shall be enforceable in accordance with these Regulations.

85. Duty to comply

A non-deposit taking credit provider shall comply with the provisions of the Act, these Regulations, other relevant written laws, guidelines, code of conduct, directive, order or condition conditions imposed by the Bank.

86. Enforcement and administrative sanctions.

The administrative sanctions against a non-deposit taking credit provider or any other relevant person who violates, fails or refuses to comply with the provisions of the Act, other relevant written laws, these Regulations, guidelines, code of conduct, directive, order or condition imposed by the Bank that maybe imposed by the Bank include—

(a) monetary penalty which shall not exceed two million shillings, or three times the gross amount of the monetary gain made or loss avoided by the failure or refusal to comply, whichever is higher;

(b) monetary penalty against a senior officer responsible for the violations that give rise to a which shall not exceed two hundred and fifty thousand shillings, payable from the resources of the senior officer;

(c) additional penalties not exceeding ten thousand shillings in each case for each day or part thereof during which such failure or refusal continues;

(d) direct a non-deposit taking credit provider to take administrative or disciplinary action, suspend or dismiss from office of the non-compliant non-deposit taking credit provider's director, officer, employee;

(e) direct a non-deposit taking credit provider to take action against an outsourced service provider including termination of the relationship;

(f) disqualify a significant shareholder, director or senior officer from holding any position or office in any non-deposit taking credit provider and any entity licensed by the Bank for a period of three years;

(g) undertake more frequent inspections of that non-deposit taking credit provider;

(h) order the non-deposit taking credit provider to submit to the Bank, within forty-five days, a plan to resolve all deficiencies to the satisfaction of the Bank;

(i) prohibit a non-deposit taking credit provider from granting new loans;

(j) prohibit a non-deposit taking credit provider from using a specified delivery channel;

(k) prohibit a non-deposit taking credit provider from using a specified person in the delivery of its services;

(l) prohibit a non-deposit taking credit provider from carrying on certain permissible activities;

(m) prohibit a non-deposit taking credit provider from borrowing new loans;

(n) direct a non-deposit taking credit provider to terminate its contract with an outsourced third-party service provider;

(o) suspend or revoke a license or registration; or

(p) any other action as the Bank may consider appropriate.

87. Application of monetary penalty to each violation.

(1) Where the Bank assesses monetary penalties for violation or non-compliance, the monetary penalties prescribed in these Regulations shall apply to each violation and assessment of the penalty may be carried out for each violation.

(2) Any unpaid monetary penalty shall constitute a civil debt and may be recovered by the Bank through any lawful process.

88. Rectification of violation.

The Bank may, in a notice to show cause or in any other communication require a non-deposit taking credit provider or any other relevant person—

(a) to desist from any act or omission constituting a violation of the Act, or condition imposed by the Bank; or

(b) to take any action to rectify any violation which has occurred.

89. Period within which rectification is to be made.

(1) Where the Bank requires a non-deposit taking credit provider or any other relevant person to take a specific action to rectify or remedy a violation, the Bank shall specify the period within which the remedial action should be taken.

(2) Despite paragraph (1), a non-deposit taking credit provider or any other relevant person may on their own motion, rectify or remedy any violation.

Part X – REVIEW

90. Review.

(1) A non-deposit taking credit provider or any other relevant person aggrieved by the decision of the Bank under these Regulations, may within fourteen days from the date of notification of the Bank's decision request the Bank to review its decision.

(2) The request for review under this paragraph (1) shall not suspend the effective date of the Bank's decision, including the commencement of an administrative sanction or requirement for a non-deposit taking credit provider or any other relevant person to pay a monetary penalty.

(3) The non-deposit taking credit provider or any other relevant person may request the Bank for such suspension pending the determination of the request, for review and the Bank may suspend the commencement of its decision.

(4) A request for the suspension of the commencement of an administrative sanction shall be made before the commencement date of the administrative sanction.

91. Grounds for review.

A review of a decision of the Bank shall be requested by a non-deposit taking credit provider or any other relevant person on grounds that—

(a) the violation did not take place;

(b) new facts have emerged and have direct bearing on the findings on the violation; or

(c) the aggrieved party was not given an opportunity to show cause why the administrative sanction should not be imposed.

92. Request for additional information

The Bank may request the aggrieved party to submit such additional information as the Bank may require to determine the request for review.

93. Determination of the request for review.

(1) The Bank may consider and determine the request for review, within thirty days from the date of receipt of the request for review or request for additional information, whichever is later.

(2) A non-deposit taking credit provider or any other relevant person may request the Bank to invite the non-deposit taking credit provider or any other relevant person for a meeting to hear representations on the request for review.

94. Communication of decision.

The Bank shall, in writing and within seven days from the date of the decision, inform the non-deposit taking credit provider or any other relevant person of its decision on the review and grounds for the decision.

Part XI – MISCELLANEOUS PROVISIONS

95. Voluntary liquidation of business.

(1) A non-deposit taking credit provider may, with the approval of the Bank, voluntarily liquidate or close its business if it is unable to meet all its liabilities.

(2) An application for the Bank's approval for the purposes of paragraph (1) shall be in such form as may be specified by the Bank.

(3) The Bank may, upon receipt of an application under paragraph (2), approve the application if satisfied as to the solvency of the non-deposit taking credit provider.

(4) Where the Bank approves an application by a non-deposit taking credit provider in paragraph (3) the non-deposit taking credit provider shall cease its operations.

(5) Without prejudice to paragraph (4), where activities are incidental to the realization, conservation and preservation of its assets and settlement of its obligations, a non-deposit taking credit provider shall continue with its operations subject to such directions as the Bank may issue.

(6) The Bank shall, upon approval of a voluntary liquidation or closure, ensure the smooth execution of the liquidation process including recovery of any outstanding loans and discharge of liabilities.

(7) The Bank shall upon granting an approval for voluntary liquidation or closure, publish in the *Gazette* a notice to the effect that the non-deposit taking credit provider is in the process of closing its business and shall not engage in any new business activities other than recovery of its loans and discharge of its liabilities.

(8) The Bank shall publish in the *Gazette* a notice to the effect that voluntary liquidation or closure, has been completed and the licence or registration of the non-deposit taking credit provider has been revoked.

96. Transition.

(1) A person who, at the commencement of these Regulations, was conducting non-deposit taking credit business which is not regulated under any other written law shall apply to the Bank for a licence or registration within six months of publication of these Regulations.

(2) An applicant under paragraph (1) may continue to conduct non-deposit taking credit business pending determination of the application subject to the Act, these Regulations and any conditions issued by the Bank.

(3) A non-deposit taking credit provider licensed under the Central Bank of Kenya (Digital Credit Providers) Regulations, 2022 (LN 46/2022), shall not be affected by registration requirements in these Regulations and shall continue to operate as if licensed under these Regulations.

(4) A non-deposit taking credit provider licensed under the Central Bank of Kenya (Digital Credit Providers) Regulations, 2022 (LN 46/2022), shall continue to carry on business and shall be deemed to have been licensed under these Regulations.

(5) Any right that accrued or liability that was incurred under the Central Bank of Kenya (Digital Credit Providers) Regulations, 2022 (LN 46/2022), shall continue to exist as if the right accrued or the liability was incurred under these Regulations.

(6) Any licence applications pending before the Bank at the commencement of these Regulations shall be processed in accordance with Part II or Part III of these Regulations, as the case may be.

97. Revocation.

The Central Bank of Kenya (Digital Credit Providers) Regulations, 2022 (LN 46/2022), are revoked.

FIRST SCHEDULE

FORMS

FORM 1

(r. 6(1)), 11(2))

APPLICATION FOR A LICENCE TO CONDUCT NON-DEPOSIT TAKING CREDIT BUSINESS

NB: This form should be submitted, duly completed, accompanied by the complete set of documents required under Part II of these Regulations

1. Name of Applicant .....

   *Trading name .....

2. Physical Address of Head Office: L.R. No. .....

   Street ..... Building .....

   Floor..... Room Number .....

   Town/City .....

3. Postal Address and Postal Code .....

   Telephone No: ..... KRA P.I.N.: .....

4. E-mail address .....

   Date of Incorporation ..... Certificate Reg. No. .....

5. Former name(s) (if any) by which the non-deposit taking credit provider has been known

   **(Indicate if Business or Trading Name is different from the incorporated name).*

6. Particulars of shareholding:

Name of shareholder (s)	*Postal Address*	*PIN No. and Identification No.*	*Incorporation or Registration Details*	*No. of shares held/ allocated*	*Name and address of Beneficial Owner of Shares*

7. Particulars of Senior Officers:

A. Directors

	Name of Proposed Director	*Age and Nationality*	*Proposed Capacity (Executive / Non-Executive)*	*ID No. / Passport No.*	*Qualification (academic and professional)*	*Postal and Email address*	*Telephone contacts*	*Experience/ previous employment*	*Other Current Director ship (s)*
1.									
2.									
3.									
4.									

(Attach all necessary supportive documentation; please indicate N/A where requested details are not applicable)

B. Senior Officers

	Name of Proposed Senior Officer	*Age and Nationality*	*Proposed Designation*	*ID No./ Passport No.*	*Qualification (academic and professional)*	*Postal and Email address*	*Telephone contacts*	*Experience/ previous employment*	*Current Position*
1.									
2.									

(Attach all necessary supportive documentation; please indicate N/A where requested details are not applicable)

8. Names of the proposed non-deposit taking credit provider's:

(a) Bankers, branch and their address .....

(b) Name of law firm and their address .....

(c) Name of audit firm and their address .....

(d) Name of Corporation Secretary and their address .....

9. Sources of funds for the proposed business .....

10. Does the non-deposit taking credit provider or its associates hold, or has it ever held any authority from a supervisory body to carry on any business activity in Kenya or elsewhere? .....

    If any such authority has been revoked, give particulars

    .....

11. Has the non-deposit taking credit provider or its associates been put under receivership in the past or made any compromise or arrangement with its creditors in the past or otherwise failed to satisfy creditors in full?

    .....

    If so, give particulars .....

12. Has the non-deposit taking credit provider or its associates been the subject of investigation by a government agency during the last three years?

    .....

    If YES, give particulars .....

13. Does the non-deposit taking credit provider have operational and financial independence from its associates including funding arrangements?

    .....

    If YES, give particulars .....

DECLARATION

We, the undersigned, being directors of the non-deposit taking credit provider, declare that to the best of our knowledge and belief, the information contained herein is complete and accurate.

We also certify that the capital to be invested in the non-deposit taking credit provider is not from proceeds of crime.

Certification and signature of at least two directors:

DIRECTOR:

.....

(Name and signature)

DIRECTOR:

.....

(Name and signature)

WITNESSED BEFORE ME:

COMMISSIONER FOR OATHS/MAGISTRATE

Name: .....

Signature: .....

Address: .....

Date and Stamp: .....

FORM 2 (r. 9(2))

APPLICATION FOR REGISTRATION TO CONDUCT THE BUSINESS OF A NON-DEPOSIT TAKING CREDIT PROVIDER

NB: This form should be submitted, duly completed, accompanied by the complete set of documents required under Part III of these Regulations.

1. Name of Applicant .....

   *Trading name .....

2. Physical Address of Head Office: L.R. No. .....

   Street: ..... Building .....

   Floor..... Room Number .....

   Town/City .....

3. Postal Address and Postal Code .....

   Telephone No: ..... KRA P.I.N.: .....

   E-mail address .....

4. Date of Incorporation ..... Certificate Reg. No. .....

5. Former name(s) (if any) by which the non-deposit taking credit provider has been known .....

6. Particulars of shareholding:

Name of shareholder (s)	*Postal Address*	*PIN No. and Identification No.*	*Incorporation or Registration Details*	*No. of shares held/ allocated*	*Name and address of Beneficial Owner of Shares*

7. Particulars of Senior Officers:

   A. Directors:

	Name of Proposed Director	*Age and Nationality*	*Proposed Capacity (Executive / Non-Executive)*	*ID No. / Pass-port No.*	*Qualification (academic and professional)*	*Postal and Email address*	*Tele-phone contacts*	*Experience/ previous employment*	*Other Current Director ship (s)*
1.									
2.									
3.									
4.									

   B. Seniors

	Name of Proposed Senior Officer	*Age and Nationality*	*Proposed Designation*	*ID No./ Passport No.*	*Qualification (academic and professional)*	*Postal and Email address*	*Telephone contacts*	*Experience/ previous employment*	*Current Position*
1.									
2.									
3.									

(Attach all necessary supportive documentation; please indicate N/A where requested details are not applicable).

8. Names of the proposed non-deposit taking credit provider's:

   (a) Bankers, branch and their address .....

   (b) Name of law firm and their address .....

   (c) Name of Corporation Secretary and their address .....

9. Sources of funds for the proposed business .....

10. Does the non-deposit taking credit provider hold or its associates, or has it ever held any authority from a supervisory body to carry on any business activity in Kenya or elsewhere?

    .....

    If any such authority has been revoked, give particulars

    .....

11. Has the non-deposit-taking credit provider or its associates been put under receivership in the past or made any compromise or arrangement with its creditors in the past or otherwise failed to satisfy creditors in full?

    .....

    If so, give particulars .....

12. Has the non-deposit taking credit provider or its associates been the subject of investigation by a government agency during the last three years?

    .....

    If YES, give particulars .....

DECLARATION

We, the undersigned, being directors of the non-deposit taking credit provider, declare that to the best of our knowledge and belief, the information contained herein is complete and accurate.

We also certify that the capital to be invested in the non-deposit taking credit provider is not from proceeds of crime

Certification and signature of at least two directors:

DIRECTOR:

.....

(Name and signature)

DIRECTOR:

.....

(Name and signature)

Date: .....

WITNESSED BEFORE ME:

COMMISSIONER FOR OATHS/MAGISTRATE

Name: .....

Signature: .....

Address: .....

Date and Stamp: .....

N.B. *The information given in response to this questionnaire shall be kept confidential by the supervisory authorities, except in cases provided for by law.*

FORM 3 (r. 6(2)(aa), (bb), r. 9(3)(r))

FIT AND PROPER FORM FOR DIRECTORS, CHIEF EXECUTIVE OFFICER AND SENIOR OFFICERS

NB: This form should be duly completed, accompanied by the complete set of documents required under Part II and submitted to the Bank.

1. NON-DEPOSIT TAKING CREDIT PROVIDER

   Name .....

   Type .....

   Proposed position .....

2. PERSONAL INFORMATION

   (a) Surname ..... Other Names .....

   (b) Previous Names (if any) by which you have been known:

   .....

   .....

   Reasons for change of names .....

   (c) Year and Place of birth: .....

   (d) Nationality and how acquired .....

   (e) Personal Identification Number (PIN) .....

   (f) (i) Identification Card number and date of issue .....

   (ii) Passport number, place and date of issue .....

   (g) Postal Address: .....

   Previous Postal Address, if, any.....

   (h) Physical Address: .....

   (i) Telephone numbers: .....

   Previous Telephone number, if, any .....

   (i) Name(s) of your bankers during the last 5 years:

   .....

   (j) Responsibilities of Proposed position

   .....

   Educational Qualifications:

	Qualifications	Year Obtained	Examining Body	Grade Obtained
1.				
2.				
3.				

Professional Qualifications and years obtained:

	Qualifications	Year Obtained	Examining Body	Grade Obtained
1.				
2.				
3.				

3. EMPLOYMENT/ BUSINESS RECORD

Period	Name of Employer / Business and	Position Held & Dates	Responsibilities	Reasons for Leaving (where applicable)

4. DESCRIPTION OF PAST AND PRESENT ACTIVITIES IN KENYA AND ABROAD

4.1 Shareholding (directly owned or through nominees):

Company's Name	Certificate of registration No.	Number of Shares held	Percentage of Shareholding	Name and address of Beneficial Owner of shares	Past Share-holding*	Reasons for sale/ divestiture*

**If none, indicate "not applicable".*

4.2 Directorships

Company's Name	Certificate of registration No.	Executive or Non-executive	Position held in case of Executive	Date of appointment	Past Directorships*	Reasons for leaving*

*If none, indicate "not applicable".

4.3 Membership to professional bodies:

Name of the institution	Membership No.	Position held	Current status of membership	Reasons for leaving

5. BORROWINGS

5.1 Have you ever defaulted in your financial obligations in the last five years?

.....

If yes, give details .....

5.2 Have you at any time been convicted of any criminal offence in any jurisdiction?

.....

If so, give particulars of the court in which you were convicted, the offence, the penalty imposed and the date of conviction

.....

5.3 Have you ever been disqualified, under any legislation from acting as a director or serving in a managerial capacity?

.....

5.4 Have you, in any country, ever been dismissed from any office or employment, or been asked to resign or resigned from employment or position of trust or fiduciary appointment?

If so, give particulars .....

5.5 Have you ever been diagnosed as being mentally unfit or of unsound mind?

.....

5.6 Have you ever been adjudged bankrupt? .....

If so, give particulars .....

5.7 Have you ever been convicted of fraud or theft by a court of law in any country?

If so, give particulars .....

5.8 Has any entity with which you were associated as a director, shareholder or manager in any country been in financial distress, made any compromise or arrangement with its creditors, been wound up or otherwise ceased business either while you were associated with it or within three years after you ceased to be associated with it?

If so, give particulars .....

5.9 Indicate the names, postal and e-mail addresses, telephone numbers and positions of at least three individuals of good standing who would be able to provide a reference on your personal and professional integrity. The referees must not be related to you and should have known you for at least five years:

	Name of Referee	Name of Referee	E-mail address	Tel No. (s)	Position (where applicable)	Relationship with applicant
1						
2						
3						

5.10 Is there any additional information which you consider relevant for the consideration of your suitability or otherwise for the position(s) held/to be held?

The omission of material facts may represent the provision of misleading information .....

6. DECLARATION

I am aware that it is an offence to knowingly provide any information, which is false or misleading. I am also aware that omitting material information intentionally shall be construed to be an offence.

I certify that the information given above is complete and accurate to the best of my knowledge, and that there are no other facts relevant to this application of which the Bank should be aware.

I undertake to inform the Bank of any material changes to the information provided herein:

NAME ..... POSITION HELD .....

DATED ..... AT ..... THIS DAY OF .....

SIGNED .....

(Applicant)

(This declaration must be signed in the presence of the witness named below)

WITNESSED BEFORE ME:

COMMISSIONER FOR OATHS/MAGISTRATE

Name: .....

Signature: .....

Address: .....

Date and Stamp: .....

N.B. The information given in response to this questionnaire shall be kept confidential by the supervisory authorities, except in cases provided for by law.

FORM 4 (r. 6(bb), 9(3)(r)

FIT AND PROPER FORM FOR SIGNIFICANT SHAREHOLDERS

NB: This form should be duly completed, accompanied by the complete set of documents provided under Part III.

1. NON-DEPOSIT TAKING CREDIT PROVIDER

   Name .....

   Registration No. .....

2. INFORMATION

   (a) Name of the corporate body/individual .....

   (b) Previous names (if any) by which you have been known .....

   (c) Date of incorporation/birth .....

   (d) Country of incorporation/birth .....

   (e) Registration No./Identification No./Passport No. .....

   (f) Personal Identification No./Tax Registration No. .....

   (g) Contacts details .....

   (h) Name(s) of your bankers over the last 5 years .....

3. DESCRIPTION OF PAST AND PRESENT ACTIVITIES IN KENYA AND ABROAD

   3.1 Sources of funds

      1. Please provide details of the actual source(s) of funds that you, as a shareholder, would like to invest or use in the acquisition of shares in the non-deposit taking credit provider.

         (a) .....

         (b) .....

         (c) .....

      2. Declaration on the sources of funds

Please provide a sworn statement that the funds that you, as a shareholder, would like to invest or use in the acquisition of shares in the non-deposit taking credit provider are not from proceeds of crime.

4. BORROWINGS

4.1 Have you ever defaulted in your financial obligations in the last five years?

.....

If yes, give details .....

Name of Borrower	Name of Lending Institution	Type of Facility	Amount Borrowed	Date of Drawdown	Terms of Facility	Security Offered	Value of security	Current Outstanding Balance

4.2 Have you at any time been convicted of any criminal offence in any jurisdiction? If so, give particulars of the court in which you were convicted, the offence, the penalty imposed and the date of conviction .....

4.3 Have you ever been disqualified, under any legislation from acting as a director or serving in a managerial capacity?

.....

4.4 Have you, in any country, ever been dismissed from any office or employment, or been asked to resign or resigned from employment or position of trust or fiduciary appointment? If so give particulars

.....

4.5 Have you ever been diagnosed as being mentally unfit or of unsound mind?

.....

4.6 Have you ever been adjudged bankrupt?

.....

If so, give particulars

.....

4.7 Have you ever been convicted of fraud or theft by a court of law in any country?

If so, give particulars

.....

4.8 Has any entity with which you were associated as a director, shareholder or manager in any country been in financial distress, made any compromise or arrangement with its creditors, been wound up or otherwise ceased business either while you were associated with it or within three years after you ceased to be associated with it?

.....

If so, give particulars

.....

4.9 Indicate the names, postal and e-mail addresses, telephone numbers and positions of at least three individuals of good standing who would be able to provide a reference on your personal and professional integrity. The referees must not be related to you and should have known you for at least five years.

	Name of Referee	Postal Address	E-mail address	Tel no. (s)	Position (where applicable)	Relationship with applicant
1						
2						
3						

4.10 Is there any additional information which you consider relevant for the consideration of your suitability or otherwise for the position(s) held/to be held? The omission of material facts may represent the provision of misleading information.

material facts may represent the provision of misleading information

.....

5. DECLARATION

I am aware that it is an offence to knowingly provide any information, which is false or misleading. I am also aware that omitting material information intentionally shall be construed to be an offence.

I certify that the information given above is complete and accurate to the best of my knowledge, and that there are no other facts relevant to this application of which the Bank should be aware.

I undertake to inform the Bank of any material changes to the information provided herein

NAME: .....

DATED AT: ..... THIS ..... DAY OF ..... 20 .....

WITNESSED BEFORE ME:

SIGNED ..... (Applicant)

COMMISSIONER FOR OATHS/MAGISTRATE

Name: .....

Signature: .....

Address: .....

FORM 5 (r. 66(9))

CYBERSECURITY INCIDENT REPORT

NB: This form should be submitted within 24 hours of any fraud or cybersecurity incident(s) to the Bank Supervision Department at fin@centralbank.go.ke

[Insert Name of reporting non-deposit taking credit provider]

.....

[Insert Date and Time of reporting]: Date ..... Time .....

Final Incident Report	
Date and time incident occurred:	
Date and time of resolution:	
Amount of fraud involved:	
Date and time of closure:	
Incident discovery method (how or via which channel was the incident discovered):	
Changes since the previous report (detailed chronological event, stakeholders notified):	
Impact assessment (financial loss amount, ability to provide adequate services to its customers, assessment on reputational or status, impact based on customer complaints, description of systems affected as well as associated services):	
Incident description(Location, purpose of the system, name of service provider affected where applicable, affected applications /databases/ networks / storage / servers, *etc*.	
Incident closure (Indicate the root cause of the incident):	

Lessons and remediation:		

Authorized Signatories

Signed for and behalf of .....

By the duly authorized Signatories

Name .....

Designation .....

Contact email .....

Contact phone number .....

Signature

Name .....

Designation .....

Contact email .....

Contact phone number .....

Signature

SECOND SCHEDULE [r. 14(1), 22(8), 74(d)]

CRITERIA

Part A – CRITERIA FOR DETERMINING PROFESSIONAL AND MORAL SUITABILITY

(1) For the purposes of determining the professional and moral suitability of persons, proposed to be directors and senior officers of a non-deposit taking credit provider, the Bank shall have regard to the following qualities, in so far as they are reasonably determinable—

(a) possession of relevant qualification, knowledge, skills and experience;

(b) ability to recommend and implement sound practices based on previous business experience;

(c) ability to provide objective advice;

(d) ability to avoid conflicts of interest in activities and commitments with other organizations.

(2) Without prejudice to the generality of the provisions of paragraph (1), the Bank, may have regard to the present and previous conduct and activities of the person concerned in business or financial matters and, in particular, to any evidence that such person—

(a) has been convicted of an offence of fraud or any other offence of which dishonesty is an element;

(b) has contravened the provisions of any law designed for the protection of members of the public against financial loss due to the dishonesty or incompetence of or malpractices;

(c) was a director or a senior officer of an institution that has been liquidated or is under liquidation or statutory management;

(d) has taken part in any business practices that, in the opinion of the Bank, were fraudulent, prejudicial or otherwise improper (whether unlawful or not);

(e) has taken part in or been associated with any other business practices as would, or has otherwise conducted himself in such manner as to cast doubt on his competence and soundness of judgment;

(f) has defaulted in the repayment of a loan for three consecutive months advanced by a licensed financial institution; and

(g) has been adjudged bankrupt.

Part B – CRITERIA FOR DETERMINING MORAL SUITABILITY OF SIGNIFICANT SHAREHOLDERS

(1) For the purposes of determining the moral suitability of significant shareholders of a non-deposit taking credit provider, the Bank shall have regard to the previous conduct and activities of the significant shareholder concerned in business or financial matters and, in particular, to any evidence that such person —

(a) has been convicted of the offence of fraud or any other offence of which dishonesty is an element; and

(b) has contravened the provisions of any law designed for the protection of members of the public against financial loss due to the dishonesty or malpractices by persons engaged in the provision of banking, insurance, investment or other financial services.

(2) Where the significant shareholder is a corporate entity, its directors and senior officers shall satisfy the criterion specified in paragraph (a) above.

(3) The Bank may request any person or corporate entity to furnish such information as may be necessary in determining the moral suitability of significant shareholders.

THIRD SCHEDULE [r. 5(2)(z), 7(4), 9(3)(p), 11(3)]

FEES

Fees	***Amount*** ***(Ksh.)***
On application for a licence or registration.	100,000

On the granting of a licence and annually.	500,000
On the granting of a certificate of registration and annually.	250,000
On payment of annual fee after 31st day of December (Late Penalty Fees).	1,000,000